

1 Context for group accounts



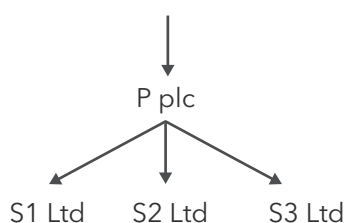
Section overview

- A group includes a parent and one or more subsidiaries.
- A subsidiary is an entity **controlled by the parent**.
- Forming a group is a means of organising a business.
- Group accounts 'consolidate' the results of the individual companies.

1.1 What is a group?

In simple terms a group is created where one company, the **parent (P)** buys shares in another company, the **subsidiary (S)**, such that the **parent company controls the subsidiary**. A group may include one or many subsidiaries.

Shareholders



The shareholders (owners) of P plc may be individuals and/or institutions such as pension funds.

1.2 What is a subsidiary?

IFRS 10, Consolidated Financial Statements provides the following definitions:



Definitions

Subsidiary: An entity that is controlled by another entity.

Parent: An entity that controls one or more entities.

Control: An investor **controls** an investee when the investor is exposed to, or has rights to, variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Power: Existing rights that give the current ability to direct the relevant activities of the subsidiary.

Relevant activities: Those that significantly affect the investee's returns.

1.3 Why form a group?

A business may operate in **several different markets** with different characteristics. These different markets will present different issues for management to address in terms of operations and finance and so on.

It would be possible for different activities to be carried out within a **single limited company**, where **separate divisions** could be established for each activity. The owners would then receive one set of accounts for that company, reflecting all its activities.

Alternatively, each activity could be carried out within a **separate company** (the subsidiaries), each of which is controlled by the parent.

There are a number of reasons why the business might be structured in this way:

- **Accountability of each group of managers can be made more precise**, as they can be identified more easily with the activities of the subsidiary which employs them.
- **Financing may be made easier**, as lenders can see audited financial statements for the individual company for which they are providing finance.
- The assets of one subsidiary can be **pledged as security for its borrowings**, leaving the assets of other subsidiaries unpledged.
- **Disposal of a business** may be made easier.

1.4 Why prepare group accounts?

This is best illustrated by the following context example.



Context example: Why prepare group accounts?

P Ltd (the parent) does not trade on its own account. Its only major asset is the ownership of all the shares in S Ltd (the subsidiary) and its only income is dividends from S Ltd.

Statements of profit or loss for the last 12 months (ignoring tax):

	P Ltd CUm	S Ltd CUm
Revenue	-	100
Cost of sales	-	(85)
Gross profit	-	15
Other costs	(1)	(40)
Operating loss	(1)	(25)
Finance income (dividends received)	11	-
Profit/(loss) for the year	10	(25)

Statement of changes in equity (extract) for the last 12 months:

	Retained earnings	
	P Ltd CUm	S Ltd CUm
Brought forward	1	45
Dividends	(6)	(11)
Total comprehensive income for the year	10	(25)
Carried forward	5	9

Without the requirement to prepare group accounts (which put together ie, 'consolidate', the activities of the parent and subsidiaries), the owners would only legally be entitled to receive the financial statements of the parent company as an individual company.

In this case, they could well think that things were going well, because the dividend income for the period covers the expenses of P Ltd and provides for a CU6 million dividend. They would not be aware that:

- The CU11 million dividend income all came from profits earned by S Ltd in previous years.
- The trading activity controlled by P Ltd's management is currently loss-making.

As will be demonstrated later in this chapter, the effect of consolidation is to produce a fair picture of P Ltd and S Ltd taken together, which is that on revenue of CU100 million (S Ltd only), there is a loss for the year of CU26 million (S Ltd's net loss of CU25 million plus P Ltd's other costs of CU1 million).

1.5 Accounting principles

The key issue underlying group accounts is therefore the need to reflect the **economic substance** (see Chapter 1) of the relationship between companies where one (a parent) has control over another (a subsidiary), which together comprise a group.

Producing consolidated accounts that present the group as though it were a **single economic entity** reflects this economic substance.

Note: The terms 'group accounts', 'consolidated accounts', 'group financial statements' and 'consolidated financial statements' can be thought of as meaning the same thing and are used interchangeably.

1.6 Composition of group accounts

Group accounts comprise:

- Consolidated statement of financial position (CSOFP)
- Consolidated statement of profit or loss (CSPL)
- Consolidated statement of profit or loss and other comprehensive income (CSOCI)
- Consolidated statement of changes in equity (CSOCE)
- Consolidated statement of cash flows
- Notes to the accounts and comparative figures

Notes

- 1 The consolidated statement of financial position is presented **in addition to** the parent's own individual statement of financial position.
- 2 The consolidated statement of profit or loss is usually presented **instead of** the parent's own individual statement of profit or loss.
- 3 The parent's own statement of financial position shows its **investment in subsidiaries** as a **non-current asset investment (usually at cost)**.
- 4 The parent's own individual statement of profit or loss shows the **dividend income** received and receivable from subsidiaries.

1.7 Types of investment

A parent may hold other investments apart from subsidiaries. These can be summarised as follows:

Investment	Criterion	Treatment in group accounts
Subsidiary	Control	Consolidation
Associate (Chapter 13)	Significant influence	Equity method
Joint venture (Chapter 13)	Joint control	Equity method
Financial asset investment	Asset held for accretion of wealth	As for single company accounts per IFRS 9

This chapter and Chapters 11–15 deal with the underlying principles and techniques involved in the preparation of group accounts.

2 The single entity concept



Section overview

- Group accounts are prepared on the basis that the parent and subsidiaries are a single entity.
- This reflects the economic substance of the group arrangement.
- The investment in a subsidiary's shares shown in the parent's own statement of financial position is replaced in the consolidated statement of financial position by the assets and liabilities of the subsidiary.
- The dividend income from the subsidiary recognised in the parent's own statement of profit or loss is replaced in the consolidated statement of profit or loss by the subsidiary's revenues and costs.

2.1 The effect of consolidation

Group accounts consolidate the results and net assets of group members to present the group to the parent's shareholders as a **single economic entity**. This reflects the **economic substance** and contrasts with the **legal form**, where each company is a **separate legal person**.

The effect of consolidation can be illustrated by comparing buying an unincorporated business from its existing proprietor with buying a controlling interest in a company from its existing shareholders.

2.2 Buying an unincorporated business

When a company invests in an unincorporated business, it pays cash to the proprietor and in exchange acquires legal title to all the assets and all the liabilities (ie, the net assets) of the business.



Worked example: Buying an unincorporated business

The statements of financial position of Panther Ltd and Seal, a sole trader, at 31 December 20X1 are as follows:

	Panther Ltd	Seal
	CU	CU
Cash	10,000	-
Sundry other assets	13,000	6,000
	<u>23,000</u>	<u>6,000</u>
Share capital/Capital	8,000	4,000
Retained earnings	12,000	
Equity	<u>20,000</u>	<u>4,000</u>
Liabilities	3,000	2,000
	<u>23,000</u>	<u>6,000</u>

Immediately after the above financial statements are prepared, on 31 December 20X1 Panther Ltd buys the net assets and business of Seal Ltd for CU4,000 in cash.

In 20X2 Panther Ltd itself made sales of CU6,000 with costs of CU4,500. Panther Ltd received cash of CU3,000 for the sales, and the remaining CU3,000 is outstanding at the year end. Costs were incurred on credit and have not yet been settled.

Panther Ltd also carried on Seal's trade which made sales of CU3,000, of which CU2,000 was received in cash and the other CU1,000 remains outstanding. Seal incurred costs of CU1,000 which have not yet been paid.

Requirement

Prepare the statement of profit or loss of Panther Ltd for the year ended 31 December 20X2 and the statement of financial position as at that date, reflecting the above information.

Solution

Panther Ltd – Statement of profit or loss for the year ended 31 December 20X2

	CU
Revenue (6,000 + 3,000)	9,000
Costs (4,500 + 1,000)	<u>(5,500)</u>
Profit	3,500

Statements of financial position as at 31 December

	20X1 CU	20X2 CU
Cash ((20X2:P (10,000 - 4,000 + 3,000) = 9,000) + S = 2,000)	6,000	11,000
Sundry other assets ((20X2:P (13,000 + 3,000) = 16,000) + S = (6,000 + 1,000) = 7,000)	<u>19,000</u>	<u>23,000</u>
	<u>25,000</u>	<u>34,000</u>
Share capital (P only)	8,000	8,000
Retained earnings (20X1: P only) ((20X2:P (12,000 + 1,500 = 13,500) + S post-acquisition profit 2,000))	<u>12,000</u>	<u>15,500</u>
Equity	20,000	23,500
Liabilities ((20X2:P (3,000 + 4,500) = 7,500) + S = (2,000 + 1,000 = 3,000))	<u>5,000</u>	<u>10,500</u>
Total equity and liabilities	<u><u>25,000</u></u>	<u><u>34,000</u></u>

Notes

- 1 Seal's net assets at the date of acquisition are incorporated into Panther Ltd's accounts and Panther Ltd's cash is reduced by the cost of the acquisition.
- 2 All Seal's trading in 20X2 (and the increase in cash as a result) is recorded in Panther Ltd's accounts.

2.3 Buying a company

When a company (the acquirer) invests in the shares of another company (the acquiree) the legal position is very different. Companies have their own legal identity separate from that of their owners. The acquirer therefore pays cash or transfers other assets to the acquiree's shareholders to buy their shares. It does not acquire legal title to the net assets of the acquiree; this remains with the acquiree.



Worked example: Buying a company

Draft statements of financial position of Panther Ltd and Seal Ltd at 31 December 20X1 are as follows:

	Panther Ltd CU	Seal Ltd CU
Cash	10,000	-
Sundry other assets	13,000	6,000
	<u>23,000</u>	<u>6,000</u>
Share capital	8,000	1,000
Retained earnings	12,000	3,000
	<u>20,000</u>	<u>4,000</u>
Equity		
Liabilities	3,000	2,000
	<u>23,000</u>	<u>6,000</u>

Immediately after the above financial statements are prepared, Panther Ltd buys the net assets and business of Seal Ltd on 31 December 20X1 for CU4,000 in cash.

In 20X2 Panther Ltd itself made sales of CU6,000 with costs of CU4,500. Panther Ltd received cash of CU3,000 for the sales, and the remaining CU3,000 is outstanding at the year end. Costs were incurred on credit and have not yet been settled.

Seal Ltd made sales of CU3,000, of which CU2,000 was received in cash and the other CU1,000 remains outstanding. Seal Ltd incurred costs of CU1,000 which have not yet been paid.

Requirements

- 1 Prepare the statements of financial position as at 31 December 20X1 and 20X2 for Panther Ltd, Seal Ltd and the Panther Ltd group, reflecting the above information.
- 2 Prepare the statements of profit or loss for the year ended 31 December 20X2 for Panther Ltd, Seal Ltd and the Panther Ltd group, reflecting the above information.

Solution

1

	31 December 20X1			31 December 20X2		
	Panther Ltd CU	Seal Ltd CU	Consolidated CU	Panther Ltd CU	Seal Ltd CU	Consolidated CU
Investment in Seal Ltd	4,000	-	-	4,000	-	-
Cash	6,000	-	6,000	9,000	2,000	11,000
Sundry other Assets	<u>13,000</u>	<u>6,000</u>	<u>19,000</u>	<u>16,000</u>	<u>7,000</u>	<u>23,000</u>

Total assets	23,000	6,000	25,000	29,000	9,000	34,000
Share capital	8,000	1,000	8,000	8,000	1,000	8,000
Retained earnings	12,000	3,000	12,000	13,500	5,000	15,500
Equity	20,000	4,000	20,000	21,500	6,000	23,500
Liabilities	3,000	2,000	5,000	7,500	3,000	10,500
Total equity and Liabilities	23,000	6,000	25,000	29,000	9,000	34,000

2 Statements of profit or loss for the year ended 31 December 20X2

	Panther Ltd CU	Seal Ltd CU	Consolidated CU
Revenue	6,000	3,000	9,000
Costs	(4,500)	(1,000)	(5,500)
Profit	1,500	2,000	3,500

Notes

- 1 The investment in the shares of Seal Ltd in Panther Ltd's accounts **has been replaced by the underlying net assets of Seal Ltd**. The net assets of Seal Ltd at the date of acquisition (represented by its share capital and retained earnings at that date) are **cancelled out** against the investment in Panther Ltd's accounts. (Note that the situation where the net assets of a subsidiary at acquisition do not equal the cost of investment is covered in Topic 7 below and in further detail in Chapter 11.)
- 2 As the net assets of Seal Ltd increase post-acquisition (an increase attributable to Panther Ltd's **control** of Seal Ltd) this increase has been reflected in net assets and retained earnings.
- 3 The profits of Seal Ltd are **combined** with those of Panther Ltd in the consolidated accounts from the date of acquisition, as post-acquisition profits of the subsidiary are earned under the parent's **control**. This is also reflected in the consolidated statement of financial position, where group retained earnings include Seal Ltd's **post-acquisition retained earnings**.
- 4 **Consolidated** statements of financial position and statements of profit or loss have been produced.
- 5 These are the same as those produced when Seal Ltd was unincorporated. This is because Panther Ltd and Seal Ltd have been treated, not as two separate legal entities, but as a **single entity**.
- 6 The two companies can be viewed as a **single entity** because Panther Ltd (the parent) **controls** Seal Ltd, its subsidiary. Together the companies form a **group**.

2.4 Summary

So far we have looked at the following key points:

- Group = parent (P) + subsidiary(ies) (S)
- Subsidiary(ies) = undertaking(s) under P's control
- The objective of group accounts is to present a true and fair view of the group to P's shareholders
- **Process of consolidation:**
 - The **investment in S** shown in P's own statement of financial position **is replaced** in the consolidated statement of financial position (CSOFP) by the **line-by-line addition of S's net assets to P's** to show the group's resources.

- Dividend income in P's own statement of profit or loss is replaced in the consolidated statement of profit or loss (CSPL) by the line-by-line addition of S's revenue and costs to P's to show the group's performance.
- The investment in S in P's statement of financial position is cancelled out against S's equity (share capital, retained earnings and other reserves) at acquisition.

3 Control and ownership



Section overview

- Group accounts reflect both control and ownership.
- Ownership of more than 50% of the ordinary voting shares in a subsidiary normally gives control to the parent.
- The net assets and results not owned by the parent are reflected in the non-controlling interests.

3.1 Control

Usually a holding of **over 50%** of the **ordinary voting shares** in S will give P **control** of S.

As we saw in section 1, control means **the ability to govern financial and operating policies of S** with a view to gaining economic benefits from its activities. This is an extension of the basic concept of control, introduced in Chapter 1 in the context of the definition of assets.

IFRS 10, Consolidated Financial Statements defines control as consisting of three elements:

- power
- exposure to variable returns
- an investor's ability to use power to affect its amount of variable returns

In an **individual company**, the assets are under the **direct control** of the company. In a **group**, the subsidiary's assets are under **indirect control** through the parent's control of the subsidiary.

IFRS 10 states that an investor controls an investee if, and only if, it has all of the following:

- power over the investee;
- exposure, or rights, to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

Power is defined as **existing rights that give the current ability to direct the relevant activities of the investee**. There is no requirement for that power to have been exercised.

Relevant activities include:

- selling and purchasing goods or services
- managing financial assets
- determining a funding structure or obtaining funding

Variable returns have the potential to change as a result of the investee's performance. Examples are dividends, potential losses from loan guarantees given on behalf of the investee, residual interests on liquidation.

In some cases, assessing **power** is straightforward, for example where power is obtained directly and solely from having the majority of voting rights or potential voting rights, and as a result the ability to direct relevant activities.

In other cases, the assessment of power is more complex. IFRS 10 gives the following examples of

rights, other than voting rights or potential voting rights which can give an investor power:

- rights to appoint, reassign or remove key management personnel who can direct the relevant activities;
- rights to appoint or remove another entity that directs the relevant activities;
- rights to direct the investee to enter into, or veto changes to, transactions for the benefit of the investor; and
- other rights, such as those specified in a management contract.

Convertible loan stock and other potential rights should also be considered when assessing whether one entity has power over another.

Note: In the Financial Accounting and Reporting exam, you should assume that an entity controls another entity if it holds more than 50% of the voting rights in that other entity, unless you are provided with information to the contrary.



Professional skills focus: Concluding, recommending and communicating

It is not always clear cut as to whether an investment is a subsidiary. As well as being able to apply the accounting requirements as to whether or not control exists, it is important that you can explain your reasoning clearly (in a manner suitable to the recipient), and then form a conclusion on the correct accounting treatment to follow.

3.2 Ownership

Equity, as defined in Chapter 1, is the **residual amount** found by deducting all of the entity's liabilities from all of the entity's assets. It is also described as the **ownership interest**.

In an individual company's accounts, there is only one ownership interest ie, that of the shareholders in that individual company, represented by the capital and reserves (which equal net assets).

In a group, it is possible for the parent to have control of a subsidiary **without owning 100% of it**.

That part of S's net assets and results included in the consolidation which is not owned by P is owned by the **non-controlling interests** (NCI).



Context example: Ownership

P Ltd owns 75% of the ordinary voting shares of S Ltd.

In this case, P Ltd **controls** 100% of S Ltd as it owns more than **50% of the ordinary voting shares**, and so has power over S Ltd. It is also exposed to variable returns in the form of dividends and through its power can affect the amount of those returns.

However, P Ltd only **owns** 75%. The **NCI owns the remaining 25%**.

In group accounts, the **ownership interest** of both P's shareholders and the NCI needs to be **reflected**, and the part of the group net assets in which P's shareholders do not have the ownership interest needs to be distinguished from that in which they do.

As both P's shareholders and the NCI own equity (in (P + S) and S, respectively), the sum of their respective ownership interests is described as **equity** in the consolidated statement of financial position.

3.3 Reflecting control and ownership in group accounts

Group accounts reflect both **control** and **ownership**. **Consolidated statement of financial position (CSOFP)**

	CU
Assets (P + S (100%) – intra-group items)	X
	=
Equity attributable to owners of P	
Share capital (P only)	X
Retained earnings (P + (P's share of S's post-acquisition retained earnings))	X
Other components of equity (P + (P's share of S's post-acquisition movements in other components of equity, eg Revaluation surplus))	X
Equity attributable to owners of P	X
Non-controlling interests (NCI's share of S's net assets at reporting date)	X
Total equity	X
Liabilities (P + S (100%) – intra-group items)	X
	=

The parent **consolidates 100% of the assets and liabilities** of the subsidiary, **reflecting the control** it has over the subsidiary.

Ownership is shown in the equity section. The parent owns a controlling share of the subsidiary's equity (net assets), the remainder is owned by other shareholders, the NCI.

Consolidated statement of profit or loss (CSPL)

	CU
Revenue (P + S (100%) – intra-group items)	X
Costs (P + S (100%) – intra-group items)	(X)
Profit for the year (PFY)	X
	=
Profit attributable to:	
Owners of P (balancing figure)	X
Non-controlling interests (NCI's share of S's PFY)	X X
	=

The **parent consolidates 100% of the income and expenses of the subsidiary**, reflecting the **control** it has over the subsidiary.

Ownership of the subsidiary is reflected by showing how much of the **consolidated profit is attributable** to:

- the shareholders of the parent (all of the parent's profit plus the parent's share of the subsidiary's profit)
- the non-controlling interests (the non-controlling interests' share of the subsidiary's profit)

3.4 Equity

There are various components to the equity section of the CSOFP:

- Share capital – Parent only
- Retained earnings – **Parent's retained earnings plus Parent's share of Subsidiary's post-acquisition retained earnings**, as these retained earnings are generated under Parent's control.
- Other components of equity (eg revaluation surplus) – **Parent's other components of equity plus Parent's share of Subsidiary's post-acquisition movements in other components of equity**, as these movements are generated under the Parent's control.

The subsidiary's share capital and its retained earnings and other components of equity at acquisition (often referred to as "pre-acquisition reserves"), are cancelled against the parent's cost of investment in the subsidiary.

The same basic calculation is used for each reserve separately (eg, revaluation surplus, retained earnings).

Note: The term 'reserves' is used through this Workbook and the related Question Bank to refer to the retained earnings and other reserves of the subsidiary. You may see or hear the term 'other components of equity' used instead of 'other reserves'. The terms can be used interchangeably.

The following interactive question brings together the points we have made so far.



Interactive question 1: Control and ownership 1

The statements of financial position of two companies at 31 December 20X7 are as follows:

	Austin Ltd CU	Reed Ltd CU
Non-current assets		
Property, plant and equipment	80,000	8,000
Investments: Shares in Reed Ltd	12,000	
	92,000	8,000
Current assets	58,000	13,000
Total assets	150,000	21,000
Equity		
Called up share capital	100,000	10,000
Retained earnings	30,000	5,000
Total equity	130,000	15,000
Liabilities	20,000	6,000
Total equity and liabilities	150,000	21,000

Austin Ltd acquired 80% of Reed Ltd on 31 December 20X7.

Requirement

Prepare the consolidated statement of financial position of Austin Ltd as at 31 December 20X7. Fill in the proforma below.

Austin Ltd – Consolidated statement of financial position as at 31 December 20X7

CU

Non-current assets

Property, plant and equipment Current assets

Total assets

Equity attributable to owners of the parent

Called up share capital Retained earnings

Non-controlling interests Total equity

Liabilities

Total equity and liabilities

See **Answer** at the end of this chapter.

Interactive question 2: Control and ownership 2

Continuing from the facts in Interactive question 1, in the year ended 31 December 20X8 the two companies traded as follows.

	Austin Ltd Reed Ltd	
	CU	CU
Revenue	20,000	5,000
Costs	(15,000)	(3,000)
<u>Profit</u>	<u>5,000</u>	<u>2,000</u>

The statements of financial position as at 31 December 20X8 are as follows.

	CU	CU
Non-current assets		
Property, plant and equipment	82,000	9,000
Investments: Shares in Reed Ltd	12,000	
	<u>94,000</u>	<u>9,000</u>
Current assets	<u>81,000</u>	<u>20,000</u>
Total assets	<u>175,000</u>	<u>29,000</u>
Equity		
Called up share capital	100,000	10,000
Retained earnings	<u>35,000</u>	<u>7,000</u>
Total equity	135,000	17,000
Liabilities	<u>40,000</u>	<u>12,000</u>
Total equity and liabilities	<u>175,000</u>	<u>29,000</u>
Requirement		

Prepare the consolidated statement of profit or loss of Austin Ltd for the year ended 31 December 20X8 and the consolidated statement of financial position at that date.

Fill in the proforma below.

Austin Ltd – Consolidated statement of profit or loss for the year ended 31 December 20X8

	CU
Revenue	
Costs	
Profit for the year	_____
Profit attributable to:	
Owners of Austin Ltd (β)	
Non-controlling interests	_____

Consolidated statement of financial position as at 31 December 20X8

	CU
Non-current assets	
Property, plant and equipment	
Current assets	_____
Total assets	
Equity attributable to owners of parent	
Called up share capital (Austin Ltd only)	
Retained earnings	_____
Non-controlling interest	_____
Total equity	_____
Liabilities	_____
Total equity and liabilities	

See **Answer** at the end of this chapter.

Finally, let us look at how the movement during the year would be reflected in the consolidated statement of changes in equity (CSCE). The consolidated statement of changes in equity is dealt with in Chapter 12. Here we will just look at the group retained earnings and non-controlling interests columns.

The retained earnings column shows group retained earnings and the non-controlling interests column shows the non-controlling share of the subsidiary's total comprehensive income (which will usually be net profit).

For Austin and Reed, these columns would be as follows:

	Retained earnings CU	Non-controlling interests CU
At 1 January 20X8/(15,000 × 20%)	30,000	3,000
Total comprehensive income for the year (5,000 + (2,000 × 80%))/(2,000 × 20%)	6,600	400
At 31 December 20X8	36,600	3,400

You can see that the carried forward totals correspond to the totals in the consolidated statement of financial position at 31 December 20X8.

Note that this is the first year of consolidation, so the opening retained earnings are simply the retained earnings of the parent. For subsequent years the opening retained earnings will include the parent's share of the subsidiary's post-acquisition retained earnings.

Now that we have looked at the mechanics of consolidation it is time to look in more detail at the requirements of the relevant standards, most importantly IFRS 3, Business Combinations.

4 IFRS 3, Business Combinations



Section overview

- All business combinations should be accounted for **using the acquisition method**.
- The acquirer should be identified for all business combinations.

4.1 Objective

The objective of IFRS 3 is to set out **the accounting and disclosure requirements** for a **business combination**. In practice business combinations can be structured in all sorts of different ways, usually for reasons which are peculiar to the parties to the combination and/or to suit the legal and tax environments in which they operate.

In an area of such potential complexity, IFRS 3 applies the concept of substance over form: it looks beyond the legal form of the transaction to the underlying substance. This can be seen in the definitions below.



Definitions

Business combination: A transaction or other event in which an **acquirer** obtains control of one or more **businesses**.

Business: An integrated set of activities and assets capable of being conducted and managed for the purpose of:

- providing goods or services to customers;
- generating investment income (such as dividends or interest); or
- generating other income from ordinary activities.

A business generally consists of inputs and processes applied to those inputs that have the ability to create outputs (although outputs are not required for qualification as a business).

All business combinations result in one entity, the acquirer, obtaining **control** of one or more other businesses. We will look at the issue of control in section 5.

The type of business combination with which you need to be familiar is **the acquisition of one company by another resulting in a parent-subsidiary relationship**.

Note: If assets alone are purchased, such as a fleet of motor vehicles, this is not a business combination and such a purchase will be accounted for in accordance with the relevant IFRS Standard eg, IAS 16, Property, Plant and Equipment not IFRS 3.

4.2 Scope

IFRS 3 applies to any transaction that meets the definition of a business combination.

4.3 Acquisition method of accounting

All business combinations should be accounted for by applying the **acquisition method**. This involves five key steps:

- Step 1** Identify the acquirer.
- Step 2** Determine the **acquisition date**.
- Step 3** Measure the **consideration** transferred.
- Step 4** Recognise and **measure the fair value of the identifiable assets** acquired and the liabilities assumed by the acquirer at the date of acquisition, as well as any **non-controlling interests** in the acquiree.
- Step 5** **Recognise and measure goodwill** (or a gain from a bargain purchase).

4.4 Identifying the acquirer

IFRS 3 states that **the acquirer should be identified for all business combinations**.



Definitions

Acquiree: The business or businesses that the **acquirer** obtains control of in a **business combination**. **Acquirer:** The entity that obtains control of the **acquiree**.

In practical terms the simplest way in which control can be achieved is for the acquirer (P) to gain **more than half of the voting rights** in the acquiree (S) ie, rights relating to votes of the shareholders in general meeting. These rights are normally attached to the ordinary (voting) shares.

In most business combinations it should be relatively straightforward to identify that a business combination has taken place. Where this is not the case the Application Guidance in IFRS 3 provides a number of examples of ways in which a business combination could be structured as follows:

- One or more businesses become subsidiaries of an acquirer or the net assets of one or more businesses are legally merged into the acquirer.
- One combining entity transfers its net assets to another combining entity.
- All the combining entities transfer their net assets to a newly formed entity.
- A group of former owners of one of the combining entities obtains control of the combined entity.

4.5 Determining the acquisition date



Definition

Acquisition date: The date on which the acquirer obtains control of the acquiree.

4.6 General rule

The date on which the acquirer obtains control of the acquiree is normally the **closing date** of the transaction. This is the date on **which the acquirer legally:**

- transfers the consideration;
- acquires the assets; and
- assumes the liabilities of the acquiree.

5 Measuring the consideration transferred



Section overview

- The consideration transferred comprises the fair values, at the acquisition date, of:
 - **assets transferred by the acquirer;**
 - the liabilities incurred by the acquirer to former owners of the acquiree; and
 - equity instruments issued by the acquirer.
- The amount of the consideration may not be fixed at the acquisition date; some may be contingent on future events. Contingent consideration should be valued at its fair value at the acquisition date.
- Quoted equity investments provided as consideration should be measured at their market price.
- Deferred consideration should also be included at fair value.
- Acquisition-related costs should be expensed in the period in which they are incurred.

5.1 General rule

The cost of the business combination is:

- The total of the **fair values of the consideration transferred**.

5.2 Fair value of consideration

IFRS 3 requires that consideration given should be measured at **fair value** at the **acquisition date**. The definition of fair value is the same as that provided in previous chapters; it is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Note: Future losses or other costs expected to be incurred as a result of the combination should not be included as part of the cost of the combination.

5.3 Deferred consideration

Part of the consideration for an acquisition may not pass to the acquiree's shareholders at the acquisition date but be deferred until a later date.

Deferred consideration should be measured at its **fair value at the acquisition date**. The fair value depends on the form of the deferred consideration.

Deferred consideration is in the form of equity shares:	Deferred consideration is payable in cash:
• Fair value should be measured at the acquisition date market price.	• Fair value is measured as the present value of the amount payable, measured by applying an appropriate discount rate to the amount of the deferred consideration.
• The deferred amount should be recognised as part of equity, under a separate heading such as 'shares to be issued'.	• The deferred amount is recognised as a current or non-current liability depending on when payment is due.

Notes

- 1 The market price of shares at the date the consideration is recognised is regarded as the present value of all the future benefits arising from those shares, so no adjustment should subsequently be made for any change in the market price over the period until any deferred consideration in the form of equity shares is issued.
- 2 As with other present value remeasurements, the increase in a liability for deferred consideration over the period until it is issued should be recognised in profit or loss as a finance cost.



Worked example: Deferred consideration

The acquisition date for Winter plc's purchase of the whole of the share capital in Summer Ltd was 1 July 20X5. The consideration comprised 1,000,000 shares in Winter plc to be issued on 1 July 20X5, CU10 million in cash payable on 1 July 20X5, 200,000 shares in Winter plc to be issued on 1 January 20X6 and CU5 million in cash payable on 1 July 20X6.

The market price of one Winter plc share was 450p on 1 July 20X5, 475p on 1 January 20X6 and 480p on 1 July 20X6. A discount rate of 7% was appropriate.

Requirement

What is the total consideration for this acquisition?

Solution

	CUm
1,000,000 shares issued on 1 July 20X5 at 450p	4.50
200,000 shares to be issued on 1 January 20X6 at 450p	0.90
Cash payable on 1 July 20X5	10.00
Cash payable on 1 July 20X6 - CU5m/1.07	4.67
	<u>20.07</u>

5.4 Contingent consideration



Definition

Contingent consideration: An obligation of the acquirer to transfer additional assets or equity interests to the former owners of the acquiree if specified future events occur or conditions are met.

The acquiree's shareholders may have a different view from the acquirer as to the value of the acquiree, for example:

- The acquiree may be the subject of a legal action which the acquiree's shareholders believe will be settled at no cost but is believed by the acquirer to be likely to result in an expensive settlement.
- The two parties may have different views about the likely future profitability of the acquiree's business.

In such cases it is often agreed that additional consideration may become due, depending on how, for example, the legal action is settled or how much profit is earned. Such consideration is 'contingent' on those future events/conditions.

Contingent consideration agreements result in the acquirer being under a legal obligation at the acquisition date to transfer additional consideration, should the future turn out in specified ways. IFRS 3 therefore requires contingent consideration to be recognised as part of the consideration transferred and measured at **its fair value at the acquisition date**.

It may turn out that the amount of the contingent consideration actually transferred is different from the original estimate of fair value. In terms of the examples given above, the legal action may be settled at no cost to the acquiree and the acquiree's profits may be higher than the acquirer expected.

IFRS 3 treats such subsequent adjustments to the **quantity** of the contingent consideration in ways familiar from IAS 10, Events after the Reporting Period:

- If (and this will be very rare) the adjustments result from additional information becoming available about conditions at the acquisition date, they should be related back to the acquisition date, provided the adjustments are made within the measurement period (however, adjustments made within the measurement period are outside of the Financial Accounting and Reporting syllabus).
- If (and this will be common) the adjustments result from events occurring after the acquisition date, they are treated as changes in accounting estimates; they should be accounted for prospectively and the effect usually recognised in profit or loss. This will be the treatment required for the additional consideration due after the legal action was settled/the earnings being higher than expected.

Measurement of the contingent consideration should be reassessed at fair value each year and the difference taken to profit or loss unless the contingent consideration is in shares. If the contingent consideration is in shares (ie, classified as equity) then it should not be remeasured but its subsequent settlement should instead be recognised as part of equity.

Worked example: Contingent consideration

On 1 January 20X7 Arran Ltd acquired 100% of the shares of Bute Ltd when the fair value of the identifiable assets acquired and liabilities assumed by Arran Ltd was CU25 million, which was equal to their carrying amounts at the date of acquisition. The consideration was 4 million shares in Arran Ltd issued at 1 January 20X7 when their market value was CU6 per share and a cash **payment of CU6 million on** 1 January 20X9 if the cumulative profits of Bute Ltd exceeded a certain amount by that date. At 1 January 20X7 the probability of Bute Ltd hitting that earnings target was such that the fair value of the possible cash payment was CU2 million.

At 31 December 20X7 the probability that Bute Ltd would exceed the required profit level had risen and the fair value of the contingent consideration was judged to be CU4 million.

At 31 December 20X8 it was clear that Bute Ltd had exceeded the profit target and the whole amount would be payable.

Requirement

Calculate the amounts to be recognised in the consolidated statement of financial position and in the consolidated statement of profit or loss for the two years ended 31 December 20X8.

Solution

The contingent consideration should be **recognised at the acquisition date**. It should then be remeasured at fair value each year end until ultimate settlement of the amount. Changes in fair value should be recognised in profit or loss.

Consolidated statement of financial position at 31 December 20X7

CU

Non-current assets – goodwill

Consideration transferred

– 4 million shares × CU6 24,000,000

– contingent at fair value 2,000,000

26,000,000

Fair value of assets acquired and liabilities assumed (25,000,000)

Goodwill 1,000,000

Non-current liabilities – contingent consideration 4,000,000

Consolidated statement of profit or loss for year ended 31 December 20X7

CU

Additional contingent consideration 2,000,000

Consolidated statement of financial position at 31 December 20X8

CU

Non-current assets – goodwill (unchanged) 1,000,000

Current liabilities – contingent consideration 6,000,000

Consolidated statement of profit or loss for year ended 31 December 20X8

CU

Additional contingent consideration 2,000,000

Interactive question 3: Contingent consideration

Autumn plc acquired 100% of Spring Ltd on 1 January 20X5 when the fair value of the identifiable assets acquired and liabilities assumed by Autumn plc was CU20 million. The consideration was:

- Eight million shares in Autumn plc issued on 1 January 20X5 when the market price of Autumn plc's shares was 350p.
- A further payment of cash on 31 December 20X6:
 - CU700,000 if Spring Ltd's profits for the year then ended were no less than CU2 million; or
 - CU1,750,000 if Spring Ltd's profits for the year then ended were no less than CU3 million.

At 1 January 20X5 the fair value of the contingent consideration was CU100,000.

At 31 December 20X5 the fair value of the contingent consideration was CU1.2 million.

At 31 December 20X6 Spring Ltd's 20X6 profits per draft financial statements were CU3.5 million.

Goodwill has not been impaired.

Requirements

- 3.1 Calculate the amounts to be recognised in the consolidated statement of financial position and in the consolidated statement of profit or loss for the year ended 31 December 20X5.

Consolidated statement of financial position at 31 December 20X5

CU

Non-current assets – goodwill

Consideration transferred

- 8 million shares × CU3.50
- contingent consideration at fair value at acquisition date

Fair value of identifiable assets acquired and liabilities assumed Goodwill

Current liabilities – contingent consideration at fair value at period end

Consolidated statement of profit or loss for year ended 31 December 20X5

CU

Additional cost of contingent consideration

- 3.2 Calculate the amounts to be recognised in the consolidated statement of financial position and in the consolidated statement of profit or loss for the year ended 31 December 20X6.

Consolidated statement of financial position at 31 December 20X6

CU

Non-current assets – goodwill

Consolidated statement of profit or loss for year ended 31 December 20X6

CU

Additional cost of contingent consideration

See **Answer** at the end of this chapter.

5.5 Acquisition-related costs

Acquisition-related costs such as professional and other fees relating specifically to the individual transaction eg, accountants' fees and legal costs are **required to be recognised as expenses in the period in which they are incurred**.

Exception: **The costs of arranging financial liabilities (eg, loans) and issuing equity are deducted from the liability/equity.**

6 Recognising and measuring the fair value of assets acquired and liabilities assumed



Section overview

- The identifiable assets acquired and liabilities assumed by the acquirer should be recognised at their fair values at the date of acquisition.

- Where certain criteria are met, the acquiree's assets and liabilities should be recognised separately.
 - Provisions for future reorganisation plans and future losses should not be recognised as liabilities at the acquisition date.
 - Contingent liabilities which can be measured reliably and for which there is a present obligation as a result of a past event should be recognised as liabilities at the acquisition date.
 - An intangible asset should only be recognised if it is separable or arises from contractual or other legal rights and can be measured reliably.
 - IFRS 3 provides guidance on the measurement at fair value of specific assets and liabilities.
 - Any non-controlling interests in the acquiree are recognised separately.
-

6.1 Basic principle

IFRS 3 requires that the **acquiree's identifiable assets and liabilities should be recognised at fair value at the date of acquisition**.

What constitutes the acquiree's identifiable assets and liabilities is important as the difference between the consideration transferred in the business combination plus the value of any non-controlling interests and the acquiree's identifiable assets and liabilities represents **goodwill**. The higher the total value of identifiable assets acquired and liabilities assumed, the lower the total value of goodwill and vice versa.

Note: An exception to the basic principle is if non-current assets of the acquiree are classified as held for sale in accordance with IFRS 5, Non-current Assets Held for Sale and Discontinued Operations.

These are recognised at **fair value less costs to sell**. This is not covered further in Financial Accounting and Reporting.

6.2 The recognition principle

IFRS 3 requires that an acquiree's **identifiable** assets and liabilities are separately recognised in a business combination where:

- they meet the definition of an asset or liability in the Conceptual Framework; and
- they are acquired as part of the business combination rather than a separate transaction.

An asset or liability is **identifiable** if it:

- is separable (ie, can be sold or transferred); or
- it arises from contractual or legal rights, regardless of whether those rights are transferable.

Recognised goodwill is an example of an asset that is not separable, since it cannot be transferred to another party. Therefore, goodwill in an acquiree's separate statement of financial position is not recognised in a business combination.

An internet domain name is an example of an asset arising from a contractual right; such an asset is recognised (at fair value) on a business acquisition.

6.3 Recognition of liabilities

The recognition principle means that only items that meet the definition of a liability at the acquisition date are recognised in a business combination. This means that the future plans or expectations of the acquirer are not reflected in recognised net assets. It effectively **prohibits** any account being taken at that time of two factors which may have depressed the price the acquirer is prepared to pay for the acquiree:

• Reorganisation plans devised by the acquirer which will only be put into effect once control over the acquiree is gained	• Acquirers often plan to create value by changing the cost structure of the acquiree so that the post- acquisition cost base is less than the sum of the acquirer's and acquiree's existing cost bases. The acquirer will evaluate the one-off costs of making these changes when deciding what lower price to offer for the acquiree, but as these costs are neither a liability nor a contingent liability of the acquiree before the date control is gained, they cannot be set up as provisions at the time of acquisition.
• Future operating losses to be incurred as a result of the business combination (this covers future losses to be incurred by the acquirer as well as by the acquiree)	• An acquirer will often target a loss-making business, in the expectation that after reorganisation and with new management it will become profitable. But it often takes some time for the benefits of such changes to emerge, during which time further trading losses will be incurred. The reorganisation process may also cause short-term losses within the acquirer. The total of such losses will depress the price to be offered by the acquirer. But no account can be taken of them, because future losses relate to future, not past, events.

Note: Contrast reorganisation plans of the acquirer with contractual obligations put in place by the acquiree (not the acquirer) before the acquisition date, which are conditional on the acquiree being acquired. (Such contractual obligations are sometimes put together on a large scale by the acquiree's management, precisely to deter acquirers. In these cases, they are often described as 'poison pill' defences.) Before the acquisition date **these are present obligations** arising from past events, but outflows of resources are **not probable**, therefore they will be dealt with as **contingent liabilities** by the acquiree up to the moment when a business combination becomes probable. At that point they meet the recognition criteria for a liability and must be recognised as one of the acquiree's **liabilities**.

6.4 Recognition of intangible assets

The recognition principle explained above means that intangible assets that have not been recognised in the separate financial statements of the acquiree may be recognised in a business combination.

This is because:

- IAS 38 specifically prohibits the recognition of certain intangibles such as brands or customer lists whereas IFRS 3 does not.
- IAS 38 includes more stringent recognition criteria than IFRS 3, particularly in respect of internally generated intangible assets.

The Illustrative Examples which accompany IFRS 3 list the following examples of intangible assets which could be recognised on a business combination because they meet the definition of an asset and are either separable or arise from contractual or legal rights:

Separable assets:

- customer lists
- non-contractual customer relationships
- unpatented technology
- databases

Customer lists are often leased (ie, used for a period without ownership being gained) for mailing purposes by entities wanting to try to acquire new customers. **Customer relationships** are details of customers together with their past buying profiles which can be sold, on the basis that even though these customers have no outstanding commitments to make purchases, the probability is that a number of them will place future orders. A value can then be put on this probability.

Assets arising from contractual or other legal rights:

- trademarks
- internet domain names
- newspaper mastheads
- non-competition agreements
- unfulfilled contacts with customers
- copyrights over plays
- books, music, videos, etc
- leases
- licences to broadcast television and/or radio programmes
- licences to fish in certain waters
- licences to provide taxi services
- patented technology
- computer software

The definition also covers **research and development projects** which are in process at the acquisition date. These will often not be recognised in the acquiree's statement of financial position.

6.5 Recognition of contingent liabilities

IFRS 3 requires an acquirer **to recognise an acquiree's contingent liabilities at the acquisition date where:**

- (a) the contingent liability is a present obligation arising from a past event rather than a possible obligation; and
- (b) its fair value **can be measured reliably**.

This is in spite of the fact that **they will not have been recognised in the statement of financial position of the acquiree** because an outflow of economic resources was not considered to be probable (under IAS 37, Provisions, Contingent Liabilities and Contingent Assets).

Once recognised, contingent liabilities should be carried **at the higher of the amount under IAS 37** (which will be nil until they become liabilities) **and their value at the acquisition date, less any subsequent amortisation**.

Notes

- 1** If these cannot be measured reliably, their value, whatever it is, will be **subsumed within goodwill** or gain on bargain purchase on acquisition. But **full disclosure** must still be made.
- 2** **Even if recognised**, the normal IAS 37 **disclosures** re contingent liabilities should be made.



Professional skills focus: Structuring problems and solutions

Some items which are not usually recognised in financial statements may be recognised on acquisition – such as contingent liabilities or internally generated intangible assets. The skill here is to recognise the accounting standard that applies in the scenario. If it is an acquisition, then IFRS 3

applies – and it therefore may be possible to recognise a contingent liability that was only disclosed in the subsidiary’s individual accounts.

6.6 Consequences of recognition of identifiable assets acquired and liabilities assumed at fair value

The consequences of the recognition of the fair value of the identifiable assets acquired and liabilities assumed by the acquirer at the acquisition date are that:

- The acquirer’s consolidated statement of profit or loss should include the acquiree’s profits and losses **from the same date**.
- The fair values of the assets acquired and liabilities assumed on acquisition form the basis of all the **subsequent accounting** in the consolidated financial statements, even where fair values are not incorporated into the acquiree’s single entity financial statements. For example, depreciation should be based on the fair values of property, plant and equipment which may not be the same as the carrying amount in the acquiree’s statement of financial position.

7 Goodwill



Section overview

- Goodwill is calculated as the excess of the fair value of the consideration transferred plus any non- controlling interests over the fair value of the identifiable assets acquired and liabilities assumed.
- Non-controlling interests can be measured at fair value or at the proportionate share of the fair value of the identifiable assets acquired and liabilities assumed by the acquirer at the acquisition date.
- Goodwill acquired in a business combination should be recognised as an intangible asset in the consolidated statement of financial position.
- Goodwill should be tested for impairment at least annually.
- If a bargain purchase arises, the measurement of the assets acquired and liabilities assumed should be reviewed.
- If the bargain purchase remains, the gain should be recognised in profit or loss in the accounting period in which the acquisition is made.

7.1 Calculation

When consolidation is carried out, the investment in the parent’s statement of financial position is **cancelled** against the fair value of the identifiable assets acquired and liabilities assumed by the acquirer at acquisition.



Context example: Cancellation

Using the facts from Interactive question 1 Control and Ownership 1, we had the following information:

CU

Consideration transferred to acquire an 80% investment in Reed Ltd (in Austin Ltd’s statement of financial position)	12,000
--	--------

Non-controlling interests (15,000 × 20%)	3,000
Fair value of identifiable assets acquired and liabilities assumed by Austin Ltd at acquisition	<u>15,000</u>

If you compare the consideration transferred (CU12,000) plus the amount of the non-controlling interest with the fair value of the assets acquired and liabilities assumed, you can see that this cancels exactly. Austin Ltd has paid an amount which is equal to its share of the fair value of assets and liabilities of Reed Ltd at acquisition.

In practice this is not likely to be the case. The parent company will often pay **more** for the subsidiary than the fair value of its assets and liabilities, recognising that the subsidiary has attributes that are not reflected in its statement of financial position. The extra amount paid by the parent is **goodwill**.

7.2 Goodwill at acquisition

In accordance with IFRS 3 any excess of the consideration transferred plus the value of any non-controlling interest over the fair value of the identifiable assets acquired and liabilities assumed should be:

- described as **goodwill**; and
- **recognised as an asset** (as it meets the recognition criteria).



Definition

Goodwill: An asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised.

Note: Any goodwill carried in the acquiree's statement of financial position becomes subsumed in the goodwill arising on acquisition because:

- it is **excluded** from identifiable assets (see section 6.4 above);
- this reduces the fair value of the assets acquired and liabilities assumed at acquisition; and
- it must therefore increase the goodwill arising on consolidation.

Initial accounting for goodwill is the process of identifying and determining the fair values of:

- the identifiable assets acquired, and liabilities assumed by the acquirer;
- the consideration transferred by the acquirer ie, the assets given, liabilities assumed and equity instruments issued; and
- any non-controlling interest at acquisition.

Note: IFRS 3 allows the option to measure the non-controlling interest at acquisition at either the NCI's proportionate share of the fair value of identifiable assets acquired and liabilities assumed by the acquirer, or at **fair value**. We will be looking at the issue of the **non-controlling interest measured at fair value** in the next section.

Interactive question 4: Goodwill

P plc pays CU10,000 to buy 75% of the share capital of S Ltd. The statement of financial position of S Ltd at the date of acquisition shows the following:

	CU
Assets	16,000
Share capital	1,000
Retained earnings	11,000
Equity	12,000
Liabilities	4,000
Equity and liabilities	16,000

The fair values of the identifiable assets acquired and liabilities assumed by P plc were equal to their carrying amounts at the date of acquisition.

Requirement

Calculate the goodwill arising on P plc's acquisition of S Ltd. Assume that the non-controlling interest at acquisition is measured at the NCI's proportionate share of the identifiable assets acquired and liabilities assumed.

Fill in the proforma below.

Note: For the purposes of calculating goodwill, the fair value of the assets acquired less liabilities assumed at acquisition may be stated as being equal to the carrying amount of the 'net assets' of the acquiree at the date of acquisition. Net assets are calculated as share capital plus retained earnings (and other reserves, if any) at the acquisition date. An adjustment may be needed to take account of the fair value of assets and liabilities at the date of acquisition.

CU

Consideration transferred

Plus non-controlling interests at acquisition (25% of FV of identifiable net assets of S Ltd)

Less fair value of identifiable assets acquired and liabilities assumed at acquisition Goodwill _____

See **Answer** at the end of this chapter.



Interactive question 5: Measuring fair value

Kelly plc acquired 75% of Eclipse plc on 1 July 20X7. The consideration comprised:

- five million 25p ordinary voting shares of Kelly plc (market value 60p) to be issued on 1 July 20X7 (issue costs of CU10,000 were paid to a merchant bank);
- CU1 million cash payable on 1 July 20X7; and
- a further 1 million 25p ordinary voting shares of Kelly plc to be issued on 1 July 20X8.

The carrying amount of net assets as shown in the statement of financial position of Eclipse plc at 1 July 20X7 was CU3,628,000. The fair value of the identifiable assets acquired and liabilities assumed by Kelly plc were equal to the carrying amount of Eclipse Ltd's net assets, with the exception of a contingent liability which is disclosed in the financial statements of Eclipse plc with a potential amount of CU2 million. The fair value of this contingent liability at 1 July 20X7 has been reliably estimated at CU200,000. The non-controlling interests are measured at their proportionate share of the fair value of the identifiable assets acquired and liabilities assumed by Kelly plc at the date of acquisition.

Requirement

Show the entries in Kelly plc's accounting records to record the investment in Eclipse plc, and calculate goodwill acquired in the business combination.

Fill in the proforma below.

Recording investment in Eclipse plc

CU

CU

Shares to be issued 1 July 20X7

DR

CR

CR

CR

Cash

DR

CR

Shares to be issued 1 July 20X8

DR

CR

Goodwill on consolidation of Eclipse plc

CU

CU

Consideration transferred

Shares

Cash

Shares to be issued

Non-controlling interests at acquisition

Fair value identifiable assets acquired and liabilities assumed

Net assets of Eclipse plc

Less: Contingent liability

Goodwill

See **Answer** at the end of this chapter.

7.3 Summary

Goodwill arising from a business combination is calculated as follows:

CU

CU

Fair value of consideration transferred

X

Non-controlling interests at acquisition

X

Less:

Fair value of tangible assets

X

Fair value of intangible assets

X

Fair value of assets

X

Fair value of liabilities

(X)

Fair value of contingent liabilities

(X)

Fair value of identifiable assets acquired and liabilities assumed

(X)

Goodwill/(Gain on a bargain purchase)

X/(X)

7.4 Goodwill subsequent to acquisition

After initial recognition, goodwill should be:

- carried in the statement of financial position at **cost less accumulated impairment losses**; and
- **tested for impairment** at least annually in accordance with IAS 36, Impairment of Assets.

If goodwill has suffered an impairment, **the loss will be recognised in the consolidated statement of profit or loss. Retained earnings** in the consolidated statement of financial position will also be **reduced**.

If the NCI has been measured at **fair value** (see section 8) then part of the impairment loss will be **allocated to the NCI**, based on the NCI percentage shareholding.

Note: Retained earnings will be reduced by the group share of total impairments recognised to date, not just the fall in value which relates to the current year.

This is because goodwill is a **consolidation adjustment** ie, it only affects the group accounts. The single entity accounts which are used as the basis of the consolidated statement of financial position will not reflect any impairments in goodwill arising on consolidation.

7.5 Gain on a bargain purchase

In certain circumstances the parent entity may pay **less** to acquire a subsidiary than represented by its share of the fair value of the assets acquired and liabilities assumed.

These circumstances might include the following:

- The subsidiary has a poor reputation or is loss-making.
- It suffers from inherent weaknesses not reflected in its assets and liabilities.
- The parent company has negotiated a good deal.

A gain on a bargain purchase arises if the fair value of the identifiable assets acquired and liabilities assumed by the acquirer **exceeds** the total of the consideration transferred and the value of any non- controlling interests ie, there is 'negative goodwill'.

IFRS 3 is based on the assumption that this usually arises because of **errors in the measurement of the acquiree's net assets** and/or the consideration transferred. The acquirer should first assess whether it has correctly identified all of the assets acquired and all of the liabilities assumed, and shall recognise any assets or liabilities identified as part of that review. The acquirer should then review the procedures for the measurement of the following amounts at the acquisition date:

- the fair value of the identifiable assets acquired and liabilities assumed;
- any non-controlling interest; and
- the consideration transferred.

If the gain still remains once these reassessments have been made, then it is attributable to a **bargain purchase** ie, the acquirer has managed to get away with paying less than the full value for the acquiree. This gain should be **recognised in profit or loss** in the same accounting period as the acquisition is made.



Professional skills focus: Assimilating and using information

Bargain purchases are unusual in questions that ask you to prepare consolidated financial statements. If your goodwill calculation indicates a bargain purchase, you are advised to review the information you have included in your calculation. Ensure that you have:

- Included all consideration (cash, shares, deferred and contingent)
- Added any non-controlling interests at acquisition
- Identified the fair value of all identifiable assets acquired and liabilities assumed
- Cast (added) down the calculation correctly

7.6 Subsequent adjustments

While every effort should be made to complete the initial measurement of goodwill by the end of the accounting period in which the business combination takes place, **it may be that in some cases only provisional values can be established by that time**. In such cases:

- **Provisional values** should initially be used in the calculation of goodwill.
- **Adjustments can be made** to the fair values of the assets acquired and liabilities assumed and/or the consideration transferred made **within one year of the acquisition date**, known as the measurement period, to take account of new information about conditions that existed at the acquisition date. Such adjustments should be **backdated** to the acquisition date. Changes in these amounts may therefore lead to a **restatement of the provisional values for goodwill or the gain on bargain purchase on acquisition**.
- **Comparative figures** for the previous period (the one in which the combination took place) **should be restated** as if these adjustments had been made as part of the initial accounting. As a result, depreciation charges in the previous period in respect of PPE may have to be restated.

Notes

- 1 The measurement period can **only be used to reassess fair values** to take account of new information about conditions that existed at the acquisition date. It **cannot** be used to **backdate the recognition of acquired assets and liabilities** which did not meet the recognition criteria at the acquisition date but do so during this period, because this would involve taking account of events **after** the acquisition date. As an example, major pollution damage resulting from an accident taking place within the one-year period may result in new types of liabilities being identified, types which were unknown at the acquisition date. No such liabilities should be recognised at the acquisition date as they were not known at that time.
- 2 The measurement period is a **maximum** of one year. It ends before one year if the acquirer receives the necessary information before that year expires.

Fair value adjustments made after the end of the measurement period are to be treated as follows:

- In limited circumstances, they are **backdated** to the acquisition date with restatement of goodwill or gain on bargain purchase on acquisition and all comparative figures. These circumstances are if they arise as a result of an error, as defined by IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors (covered in Chapter 3). But **such errors will be very rare**.
- In **all other circumstances**, such adjustments are to be treated as **changes in accounting estimates**, as defined in IAS 8. There is **no backdating** to the acquisition date and **no restatement** of comparative figures. These adjustments are recognised as **income or expenses in the accounting period in which they arise**. So if a trade receivable which had a fair value of nil at the acquisition date (ie, it had been recognised as an expense in profit or loss) is recovered in full two years afterwards, **it is treated as income, not as a reduction in goodwill**.

8 Measurement of non-controlling interests



Section overview

- IFRS 3 allows two methods of measuring the non-controlling interest (NCI) at the acquisition date:
 - measuring the NCI share of the fair value of the identifiable assets acquired and liabilities assumed (proportionate basis); and
 - measuring the NCI at its fair value (the fair value method).
- The fair value method results in the NCI's share of goodwill being recognised.

8.1 Measurement of non-controlling interests at acquisition date

- The traditional method of measuring the NCI at the acquisition date is to measure it at the NCI's share of the fair value of the acquiree's identifiable assets acquired and liabilities assumed, known as the **proportionate basis** throughout the Financial Accounting and Reporting materials.

This method results in goodwill being in effect the difference between the cost of the acquirer's investment and its share of the fair value of the identifiable assets acquired and liabilities assumed at the date of acquisition. The rationale is that the market transaction which is the business combination has only provided evidence of the amount of the parent entity's goodwill; there has been no market transaction to provide evidence of the amount of goodwill attributable to the NCI. Hence only the acquirer's share of the goodwill is recognised.

- The alternative approach works on the basis that the goodwill attributable to the NCI can be calculated from the estimate of the fair value of the NCI itself. It is an approach which is consistent with the rest of IFRS 3 which requires the consideration transferred, the assets acquired and the liabilities assumed all to be measured at fair value.

The fair value method usually results in a higher amount for the NCI; the difference between this and the amount as traditionally measured is added to the goodwill acquired in the business combination and is the goodwill attributable to the NCI at the acquisition date.

Note: The choice of method is available for each business combination separately. The choice in respect of one combination is **not binding** for subsequent combinations.



Worked example: Measurement of NCI 1

The consideration transferred by National plc when it acquired 800,000 of the 1,000,000 CU1 equity shares of Locale Ltd was CU25 million. At the acquisition date Locale Ltd's retained earnings were CU20 million and the fair value of the 200,000 equity shares in Locale Ltd not acquired was CU5 million. The fair value of the identifiable assets acquired and liabilities assumed by National plc were equal to their carrying amounts at the date of acquisition.

Requirements

Calculate the goodwill acquired in the business combination on the basis that the NCI in Locale Ltd is measured using:

- proportionate basis
- fair value

Solution

	NCI on proportionate basis	NCI at fair value
	CU	CU
Consideration transferred	25,000,000	25,000,000
NCI – 20% × CU21m/fair value	4,200,000	5,000,000
	<u>29,200,000</u>	<u>30,000,000</u>

	NCI on proportionate basis	NCI at fair value
	CU	CU
Fair value of identifiable assets acquired and liabilities assumed (CU1m + CU20m)	(21,000,000)	(21,000,000)
Goodwill acquired in business combination	<u>8,200,000</u>	<u>9,000,000</u>

The only difference between the results of the two methods at the acquisition date is that the NCI and goodwill are higher by CU0.8 million, the amount by which the fair value of the NCI exceeds its share of the identifiable assets acquired and liabilities assumed at the date of acquisition.

Note: There is always likely to be a difference between the fair values per share of an equity holding which provides control over another entity and a holding which does not, because buyers are prepared to pay a higher price per share if they end up gaining control of the other entity. This higher price is sometimes referred to as the 'control premium'. In the above example:

- The controlling interests are valued at CU31.25 per share (25,000/800).
- The NCI is valued at CU25.00 per share (5,000/200).

8.2 Subsequent measurement of NCI in statement of financial position

If the NCI was measured at the acquisition date at fair value, then the carrying amount at the end of each subsequent period should take that fair value into account.

Consolidation working - Non-controlling interests

	CU
Fair value of NCI at acquisition date	X
Share of post-acquisition retained earnings	
(NCI% × post-acquisition retained earnings)	<u>X</u>
	<u>X</u>
	<u>=</u>

Where NCI has been measured at fair value and there is an impairment of goodwill, part of that impairment will be charged to the NCI at the end of the reporting period, based on the NCI %.

For instance, if the goodwill in the worked example in section 8.1 above was impaired by CU1,000, the impairment would be reflected in the consolidated statement of financial position as follows:

Proportionate basis

	CU	CU
DR Group retained earnings	1,000	
CR Goodwill		1,000

Fair value basis

	CU	CU
DR Group retained earnings ($1,000 \times 80\%$)	800	
DR Non-controlling interests ($1,000 \times 20\%$)	200	1,000
CR Goodwill		

Where the proportionate method of calculating goodwill and NCI has been used students should assume that any impairment given relates to the proportion of goodwill recognised and no adjustment to the figure will be necessary.

Worked example: Measurement of NCI 2

Continuing with the immediately preceding worked example, Locale Ltd's retained earnings three years later were CU23 million.

Requirements

Calculate the carrying amount of the non-controlling interest three years later on the basis that at acquisition it was measured using:

- (a) proportionate basis
- (b) fair value

Solution**Consolidation working - Fair value of identifiable assets acquired and liabilities assumed - Locale Ltd**

	At period end CU	At acquisition CU	Post-acquisition CU
Share capital	1,000,000	1,000,000	-
Retained earnings	23,000,000	20,000,000	3,000,000
	<u>24,000,000</u>	<u>21,000,000</u>	<u>3,000,000</u>

Note that the fair values of the identifiable assets acquired and liabilities assumed by National plc are equal to the carrying amounts of the net assets of Locale Ltd at the date of acquisition, and therefore no fair value adjustments are required.

Consolidation working - Non-controlling interest

	NCI on proportionate basis CU	NCI at fair value CU
NCI at acquisition date		
At share of fair value of identifiable assets acquired and liabilities assumed ($20\% \times 21,000,000$)	4,200,000	
At fair value		5,000,000
Share of post-acquisition retained earnings ($20\% \times 3,000,000$)	<u>600,000</u>	<u>600,000</u>
	<u>4,800,000</u>	<u>5,600,000</u>



Interactive question 6: Subsequent measurement of NCI

On 1 January 20X8 Foot plc acquired 75,000 equity shares in Belt Ltd for CU750,000. Belt Ltd's issued equity share capital was 100,000 CU1 shares at 1 January 20X8. The fair value of the identifiable assets acquired and liabilities assumed by Foot plc were equal to their carrying amount of CU600,000 at the date of acquisition. On the same date the fair value of the equity shares in Belt Ltd **not acquired by Foot plc was estimated at CU175,000.**

On 31 December 20X8 the summarised statements of financial position of the two entities were as follows:

	Foot plc CU	Belt Ltd CU
ASSETS		
Non-current assets		
Property, plant and equipment	150,000	500,000
Investments	750,000	
	900,000	500,000
Current assets	1,700,000	680,000
Total assets	2,600,000	1,180,000
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital (CU1 shares)	500,000	100,000
Retained earnings	1,500,000	880,000
	2,000,000	980,000
Current liabilities	600,000	200,000
Total equity and liabilities	2,600,000	1,180,000

Requirements

Prepare the consolidated statement of financial position of Foot plc and its subsidiary Belt Ltd as at 31 December 20X8 on the basis that at acquisition the non-controlling interest was measured using:

- (a) proportionate basis
- (b) fair value

See **Answer** at the end of this chapter.

9 IFRS 10, Consolidated Financial Statements



Section overview

- With limited exceptions, all parent entities must present consolidated financial statements.
- Consolidated financial statements must include the parent and all the entities under its control.
- For the purposes of your Financial Accounting and Reporting exam, the investment in the subsidiary is carried at cost in the parent's statement of financial position.

9.1 Scope

IFRS 10 is to be applied **in the preparation of the consolidated financial statements** (CFS) of the group.



Definitions

A group: A parent and all its subsidiaries.

Consolidated financial statements: The financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity.

Non-controlling interest: The equity in a subsidiary not attributable, directly or indirectly, to a parent.

9.2 Background

IFRS 10 bases its consolidation model on **control**, but it seeks to define control in a way which can be applied to all investees. IFRS 10 gives a more detailed definition of control and seeks in that way to reduce the opportunities for reporting entities to avoid consolidation.

The IFRS 10 definition of control was explained in section 3.1.

9.3 Presentation of CFS

With one exception, a **parent must present CFS**.

A parent need not prepare CFS if, and only if, **all** of the following hold:

- the parent is itself **a wholly-owned subsidiary** or it is a partially owned subsidiary of another entity and its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the parent not presenting consolidated financial statements;
- its securities are **neither publicly traded nor in the process of being issued to the public**; and
- IFRS Standards-compliant CFS are prepared by the **immediate or ultimate parent company**.

9.4 Scope of CFS

The CFS **must include the parent and all subsidiaries**, both foreign and domestic, other than:

- those held for sale in accordance with IFRS 5; and
- those held under such long-term restrictions that control cannot be operated.



Professional skills focus: Applying judgement

IFRS 10 is clear that a subsidiary should not be excluded from consolidation simply because it is loss making or its business activities are dissimilar to those of the group as a whole.

You may be faced with a question in which a company wishes to exclude an investee from consolidation. You need to apply judgement and professional scepticism to consider whether there are any ethical issues arising eg, why would a company wish to exclude a subsidiary from consolidation? Is it trying to hide something (often an attempt to raise 'off balance sheet' finance) or to improve results?

9.5 Consolidation procedures

The following consolidation procedures are necessary to present the group as a single economic entity. These were explained in earlier sections of this chapter ie:

- **eliminating the carrying amount of the parent's investment** against its share of the acquisition date **equity in its subsidiaries**, with **goodwill** being the resultant figure; and
- **calculating the non-controlling interest** and presenting it as a separate figure:
 - in the statement of financial position, within total equity but separately from the parent shareholders' equity; and
 - in the statement of profit or loss.

In addition, **intra-group balances, transactions, profits and losses should be eliminated in full** (ie, not just the parent's share).

Note: Under IFRS 10 total comprehensive income is attributed to the parent and the non-controlling interests even if this results in the non-controlling interests having a deficit balance. This is consistent with the idea that the non-controlling interests are part of the equity of the group. If there are non-controlling interests in cumulative preference shares which are classified as equity, the non-controlling interests must be allocated their share of the relevant dividends even if they have not been declared.

There are additional requirements:

- Where the parent and subsidiary have **different reporting dates**, that difference should be **not more than three months** (remember that, because it has control, the parent can dictate a reporting date to the subsidiary) **and adjustments must be made for major transactions between the two dates**. An example of such an adjustment would be if the subsidiary with cash appearing in its statement of financial position at an earlier date lent it to the parent so that the same cash was in the parent's statement of financial position at the later date. An adjustment must be made to eliminate this double-counting.
- **Uniform accounting policies must be applied** to all companies in preparing the CFS. If they are not adopted in the subsidiaries' own financial statements, then **adjustments should be made as part of the consolidation**. It might be the case that certain group companies take advantage of the alternative accounting treatments allowed in some areas by IFRS Standards, but these should be made uniform on consolidation.

Changes in the composition of the group are accounted for as follows:

- **Acquisitions are accounted for under IFRS 3**, by bringing into the consolidated statement of profit or loss the new subsidiary's income and expenses from the date of acquisition.

- In the case of disposals, the **income and expenses to the date of disposal** (ie, the date control is lost) **are included in the CFS**, as is the difference between the **proceeds of sale** and the **carrying amount in the consolidated statement of financial position** at that date (which will be the parent's share of the subsidiary's net assets at the date of disposal plus any remaining goodwill relating to that subsidiary – this is dealt with in Chapter 14).



Professional skills focus: Assimilating and using information

Preparing consolidated financial statements requires assimilating and using a lot of information – both in your exam and in real life. Therefore, being able to apply consolidation procedures to help you to assimilate and use information efficiently is a key skill to develop in this topic.

10 IFRS 12, Disclosure of Interests in Other Entities



Section overview

IFRS 12 sets out the required disclosures for group accounting.

10.1 Overview

IFRS 12, Disclosure of Interests in Other Entities requires comprehensive disclosures about a reporting entity's interests in other entities. The information required by IFRS 12 is intended to help users to evaluate the nature of, and risks associated with, a reporting entity's interest in other entities and the effects of those interests on its financial position, financial performance and cash flows. It replaces the disclosure requirements of all other standards relating to group accounting. The standard requires disclosure of:

- the significant judgements and assumptions made in determining the nature of an interest in another entity or arrangement, and in determining the type of joint arrangement in which an interest is held; and
- information about interests in subsidiaries, associates, joint arrangements and structured entities that are not controlled by an investor.

10.2 Interests in subsidiaries

The following disclosures are required in respect of subsidiaries:

- the interest that non-controlling interests have in the group's activities and cash flows, including the name of relevant subsidiaries, their principal place of business and the interest and voting rights of the non-controlling interests;
- the nature and extent of significant restrictions on an investor's ability to use group assets and liabilities;
- the nature of the risks associated with an entity's interests in consolidated structured entities; and
- the consequences of changes in ownership interest in subsidiaries (possible loss of control).

IFRS 12 also requires specific disclosures in respect of associates and joint arrangements. These are explained in Chapter 13.

11 IAS 27, Separate Financial Statements



Section overview

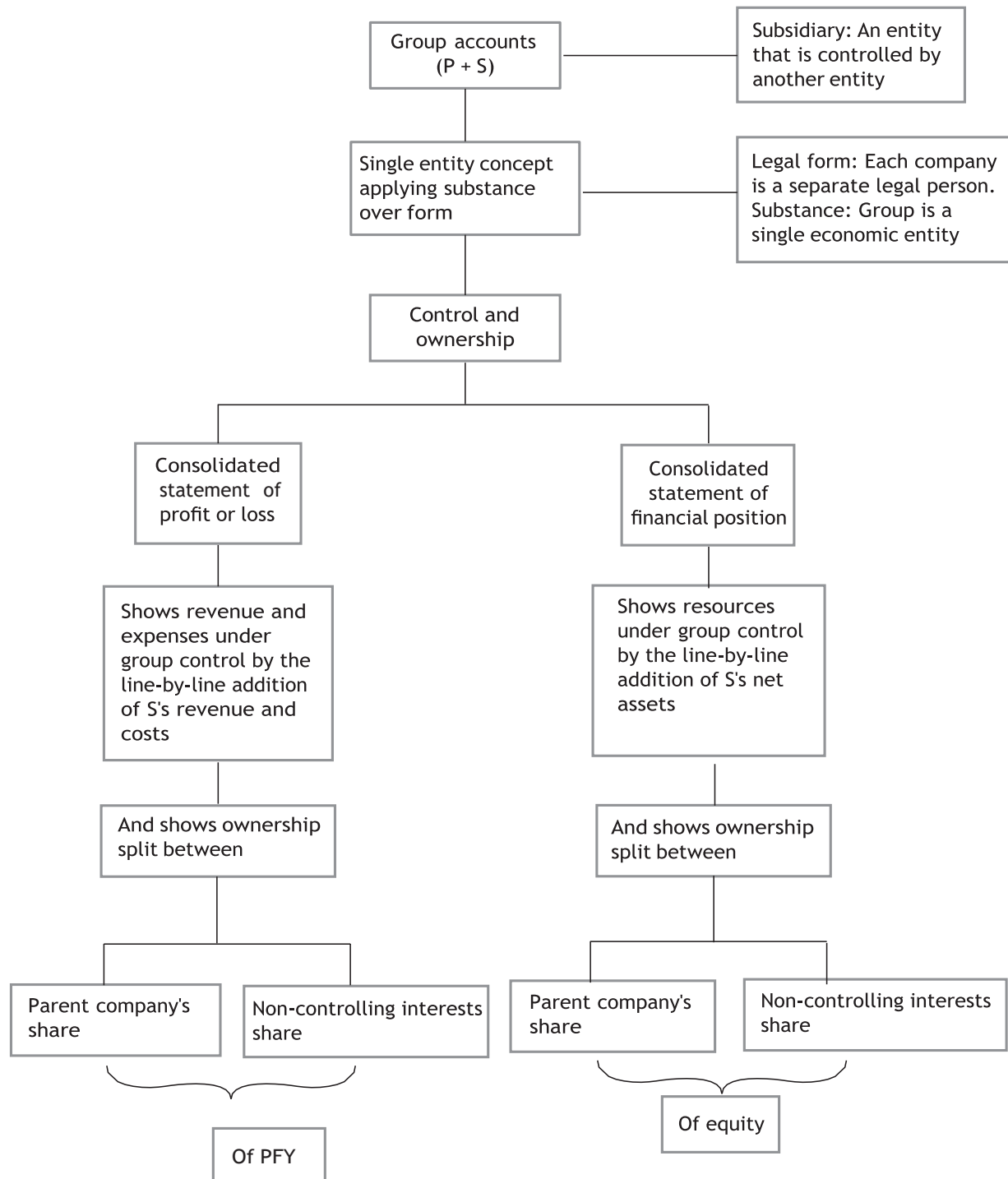
IAS 27 specifies the requirements for a parent's separate financial statements.

IAS 27, Separate Financial Statements specifies the accounting and disclosure requirements for the separate financial statements of the parent or the investor, in which the relevant investments will be accounted for either at cost or in accordance with IFRS 9 or using equity accounting in line with IAS 28.

The exception to this is investments held for sale which will be accounted for in accordance with IFRS 5, Non-current Assets Held For Sale and Discontinued Operations.

In its separate financial statements, an entity will recognise dividends from other entities, rather than recognising a share of their profits. An entity recognises a dividend from a subsidiary, joint venture or associate when its right to receive the dividend is established.

Summary



Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Why does a group present consolidated financial statements? (Topic 1 and 2)
2.	Can you define control? Can you explain the three elements of control? (Topic 3)
3.	Can you explain the acquisition method? (Topic 4)
4.	Can you explain how to measure contingent consideration and deferred consideration? (Topic 5)
5.	Can you explain how the identifiable assets acquired and liabilities assumed by the acquirer should be measured and recognised on acquisition? Can you explain the exceptions in IFRS 3 to the usual recognition requirements? (Topic 6)
6.	Can you explain how to calculate goodwill? (Topic 7)
7.	Can you explain the effect of measuring NCI at fair value and on a proportionate basis? (Topic 8)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Sansom plc	This question tests a calculation that is crucial to group accounting – goodwill – in two different subsidiaries. It is a great question to help you build up confidence in calculating goodwill and includes a twist: how to account for an impairment loss on goodwill.
Castor plc	This question again tests the important calculation of goodwill, but this time with a twist in the consideration paid to acquire the subsidiary.
Crawford Ltd	This question is excellent as it tests a lot of the knowledge learned in this chapter, including principles underlying group accounting in part 1, whether you can explain key concepts in part 2 and the preparation of consolidated financial statements in part 3.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted the self-test questions, you can continue your studies by moving onto the next chapter. In later chapters, we will recommend questions from the Question Bank for you to attempt.

Technical reference

The following sets out the examinability of the standards covered in this chapter.

IFRS 3 All paragraphs but excluding paragraphs 24-30, 41-44, 54-55, 57 and 67. Appendix B is excluded except for B5-B11, B31-B34 and B64-B67 and the illustrative examples are also excluded.

The paragraphs listed below are the key references you should be familiar with.

1 IFRS 3, Business Combinations

Basics

- Definitions: control, acquirer, acquiree, acquisition date, goodwill – **IFRS 3 (App A)**
- Acquisition method: acquirer, cost of combination, allocation over identifiable assets, liabilities and contingent liabilities – **IFRS 3 (5)**

Acquisition date

- Date on which control passes – **IFRS 3 (8-9)**

Consideration transferred

- Measured at fair value of assets given, liabilities assumed and equity instruments issued – **IFRS 3 (37-38)**
- Subsequent adjustment to cost:
 - Subsequent adjustments within measurement period affect goodwill – **IFRS 3 (45-50)**
 - If after initial accounting complete, then in current period

Recognition and measurement of identifiable net assets acquired

- Identifiable assets – exist at acquisition date and:
 - May or may not have been recognised in the acquiree's own financial statements – **IFRS 3 (10- 14)**
- Identifiable contingent liabilities – exist at acquisition date and:
 - Reliably measurable – **IFRS 3 (23)**
 - Normal IAS 37 disclosures – **IFRS 3 (B64)**
 - Subsequently carried at higher of IAS 37 value and value at acquisition date – **IFRS 3 (56)**

Goodwill

- Non-current asset – **IFRS 3 (32)**
- No amortisation but subject to annual impairment reviews – **IAS 36 (10)**

Gain on bargain purchase

- Reassess identification and measurement of the net assets acquired and measurement of consideration transferred – **IFRS 3 (36)**
- Any remaining amount recognised in profit or loss in period the acquisition is made – **IFRS 3 (34)**

Initial accounting

- At acquisition date or within 12 months thereof – **IFRS 3 (45)**

- Subsequently: errors accounted for retrospectively, everything else prospectively – **IFRS 3 (50)**

Disclosures

- Business combinations effected in the accounting period or after its finish but before financial statements authorised for issue (in the latter case, by way of note)
- Gains, losses, errors and other adjustments which relate to combinations effected in the current or previous periods
- Changes in the carrying amount of goodwill during the period – **IFRS 3 (B64-B67)**

2 IFRS 10, Consolidated Financial Statements

Scope

- An entity that is a parent shall present consolidated financial statements, unless:
 - Wholly or partially-owned subsidiary and all other owners do not object to no CFS
 - Debt or equity instruments not publicly traded
 - Not in the process of filing financial statements with any regulatory body for the purpose of making a public offering
 - Ultimate or intermediate parent publishes consolidated financial statements compliant with IFRS Standards – **IFRS 10 (4)**

Control

- An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee – **IFRS 10 (6)**
- An investor has power over an investee when the investor has existing rights that give it the current ability to direct the relevant activities ie, the activities that significantly affect the investee's returns – **IFRS 10 (10)**

Accounting requirements

- A parent shall present consolidated financial statements using uniform accounting policies for like transactions and other events in similar circumstances – **IFRS 10 (19)**
- Non-controlling interests to be presented in the consolidated statement of financial position within equity, but separately from owners' equity – **IFRS 10 (22)**

Appendix A

Definitions: control, group, non-controlling interest, parent, power, relevant activities, subsidiary.

3 IAS 27, Separate Financial Statements Definitions: as per IFRS 10 – **IAS 27 (5) Parent's separate financial statements**

- Investments in subsidiaries, joint ventures and associates should be accounted for either at cost or in accordance with IFRS 9 (IAS 39), unless they are classified as held for sale – **IAS 27 (10)**
- A dividend from a subsidiary, joint venture or associate shall be recognised when the right to receive the dividend is established – **IAS 27 (12)**

Disclosure

- When a parent elects not to prepare consolidated financial statements, it shall disclose:
 - details of the entity and a statement that the exemption from consolidation has been used;

- a list of significant investments in subsidiaries, joint ventures and associates; and
- a description of the method used to account for these investments – **IAS 27 (16)**

4 IFRS 12, Disclosure of Interests in Other Entities

- Deals with disclosure requirements for an entity that has an interest in subsidiaries, joint ventures or associates – **IFRS 12 (5)**
- An entity shall disclose information about significant judgements and assumptions it has made in determining that it has control, joint control or significant influence – **IFRS 12 (7)**
- An entity shall disclose information regarding:
 - its interests in subsidiaries; and – **IFRS 12 (10)**
 - the interests that non-controlling interests have in the group's activities and cash flows – **IFRS 12 (11)**

Self-test questions

When a parent company acquires a subsidiary, it's **only** entitled to include the subsidiary's profits earned after the acquisition in its consolidated retained earnings. The profits (or losses) before acquisition belong to the previous owners — not the parent.

Answer the following questions.

1 Vaynor plc

Vaynor plc acquired 100,000 ordinary voting shares in Weeton Ltd and 40,000 ordinary voting shares in Yarlet Ltd some years ago.

Extracts from the statements of financial position of the three companies as on 30 September 20X7 were as follows.

	Vaynor plc CU	Weeton Ltd CU	Yarlet Ltd CU
Ordinary shares of CU1 each	500,000	100,000	50,000
Retained earnings	90,000	40,000	70,000

At acquisition Weeton Ltd had retained losses of CU10,000 and Yarlet Ltd had retained earnings of CU30,000.

Requirement

What were the consolidated retained earnings of Vaynor plc on 30 September 20X7?

2 Wolf plc

Wolf plc acquired 80,000 CU1 ordinary voting shares in Fox plc on 1 April 20X5 at a cost of **CU77,000**. Fox plc's retained earnings at that date were CU50,000 and its issued ordinary share capital was CU100,000. The fair value of the assets acquired and liabilities assumed by Wolf plc were equal to their carrying amounts at the date of acquisition. Non-controlling interests are measured at fair value of CU32,000.

Requirement

What is the amount of the gain on a bargain purchase arising on the acquisition?

3 Ling plc

Ling plc purchased 80% of the ordinary voting shares of Moy Ltd on 1 June 20X0 for CU5,400,000. The summarised statement of financial position of Moy Ltd on this date showed the following.

	CU
Ordinary share capital	1,000,000
Share premium account	500,000
Revaluation surplus	400,000
Retained earnings	2,700,000
	4,600,000

At the acquisition date, the fair values of the identifiable assets acquired and liabilities assumed by Ling plc were equal to the carrying amounts of net assets, with the following exceptions:

- Moy Ltd had an intangible asset (a brand), which had a fair value of CU150,000 in excess of its carrying amount; and
- Moy Ltd's statement of financial position included goodwill of CU500,000 which had arisen on the acquisition of a sole trader. Ling plc has chosen to use the proportionate basis to measure the non-controlling interest arising on the acquisition of Moy Ltd.

Requirement

In accordance with IFRS 3, Business Combinations what is the amount of goodwill acquired in the business combination?

4 Sansom plc

Sansom plc has two subsidiaries, Mabbutt Ltd and Waddle Ltd. It purchased 10,000 CU1 shares in Mabbutt Ltd on 1 January 20X1 for CU35,000 when the retained earnings of Mabbutt Ltd stood at CU21,000 and the fair value of the NCI was CU13,000. It purchased 15,000 CU1 shares in Waddle Ltd for CU20,000 on 31 December 20X1 when the retained earnings of Waddle Ltd stood at CU16,000 and the fair value of the NCI was CU10,000.

The fair values of the identifiable assets acquired and liabilities assumed by Sansom plc were equal to their carrying amounts at the date of acquisition.

Non-controlling interests at the acquisition date are to be measured at their fair value. The issued share capital of the two subsidiaries is as follows.

Mabbutt Ltd CU15,000

Waddle Ltd CU20,000

By the end of 20X4 goodwill impairment losses totalled CU4,400.

Requirement

What is the carrying amount of goodwill in the consolidated statement of financial position at 31 December 20X4?

5 Teal plc

Teal plc has purchased all the share capital of Juniper Ltd during the year.

Which of the following items should Teal plc take into account when calculating the fair value of identifiable assets acquired and liabilities assumed in accordance with IFRS 3, Business Combinations?

- A A possible loss dependent on the outcome of a legal case which has not been provided for in Juniper Ltd's accounts. The acquisition date fair value of the loss can be estimated reliably.
- B A provision required to cover the costs of reorganising Juniper Ltd's departments to fit in with Teal plc's structure.
- C A warranty provision in Juniper Ltd's accounts to cover the costs of commitments made to customers.

6 Wilsons plc

Wilsons plc purchased 70% of Watneys Ltd for CU20,000 on 30 June 20X2. The fair value of the non- controlling interests at that date was CU7,000. The statements of financial position of Watneys Ltd are as follows.

	30 September	
	20X2	20X1
	CU	CU
Ordinary share capital	1,000	1,000
Share premium	2,000	2,000
Retained earnings	21,000	12,000
	<u>24,000</u>	<u>15,000</u>

Profits accrue evenly over the year. Wilsons plc uses fair value wherever possible as a preferred method of accounting. The fair value of the identifiable assets acquired and liabilities assumed by Wilsons plc were equal to their carrying amounts at the date of acquisition.

Requirement

What is the goodwill acquired in the business combination?

7 Leeds Ltd

Leeds Ltd acquired 100% of the issued share capital of Cardiff Ltd for CU12 million in cash. In arriving at the purchase price Leeds Ltd had taken into account future costs for reorganising Cardiff Ltd of CU1 million and Cardiff Ltd's anticipated future trading losses of CU2 million. The fair value of the identifiable assets acquired and liabilities assumed by Leeds Ltd before taking into account these matters was CU7 million.

Requirement

In accordance with IFRS 3, Business Combinations, what is the amount of goodwill acquired in the business combination?

8 Castor plc

Castor plc acquires 75% of the ordinary voting share capital of Pollux Ltd on 1 December 20X1. The consideration transferred is CU1 million in cash and 300,000 CU1 ordinary shares of Castor plc. The market value of each of Castor plc's shares on 1 December 20X1 is 300 pence. On 1 December 20X1 the fair values of the identifiable assets acquired and liabilities assumed by Castor plc were equal to the carrying amounts of the net assets of Pollux Ltd of CU1 million. Castor plc intends to measure the non-controlling interest in Pollux Ltd at its fair value on 1 December 20X1 of CU280,000.

Requirement

In accordance with IFRS 3, Business Combinations what is the amount of goodwill acquired in the business combination to be dealt with in Castor plc's consolidated accounts?

9 Acquisition of a subsidiary

In accordance with IFRS 3, Business Combinations the timetable for the acquisition of a subsidiary will usually include the following four dates.

What will be the effective date for accounting for the business combination?

- A The date on which consideration passes
- B The date on which an offer becomes or is declared unconditional
- C The date from which the acquiring company has the right to share in the profits of the acquired business under the agreement
- D The date on which control passes**

10 Salt Ltd

Salt Ltd has a share capital of CU10,000 split into 2,000 A ordinary shares of CU1 each and 8,000 B ordinary shares of CU1 each. Each A ordinary share has ten votes and each B ordinary share has one vote. Both classes of shares have the same rights to dividends and on liquidation. Tahini plc owns 1,500 A ordinary shares in Sam Ltd. Dill plc owns 5,000 B ordinary shares in Salt Ltd.

All three companies conduct similar activities and there is no special relationship between the companies other than that already stated. The shareholdings in Salt Ltd are held as long-term investments and are the only shareholdings of Tahini plc and Dill plc.

Requirement

In accordance with IFRS 10, Consolidated Financial Statements **which company(/ies) should prepare consolidated financial statements?**

11 Andress Ltd

The statement of profit or loss and statement of financial position for the year 20X0 for Andress Ltd and Bacall Ltd are given below.

Statements of profit or loss for the year ended 31 December 20X0

	Andress Ltd CU	Bacall Ltd CU
Revenue	10,000	7,000
Cost of sales	(6,000)	(2,000)
Gross profit	4,000	5,000
Expenses and tax	(3,000)	(2,000)
Profit	<u>1,000</u>	<u>3,000</u>

Statements of financial position as at 31 December 20X0

	Andress Ltd CU	Bacall Ltd CU
ASSETS		
Non-current assets		
Property, plant and equipment	25,300	9,000
Investments (3,200 shares in Bacall Ltd at cost)	<u>3,200</u>	—
	28,500	9,000
Current assets	<u>22,500</u>	<u>7,000</u>
Total assets	<u>51,000</u>	<u>16,000</u>

	CU	CU
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital	10,000	4,000
Share premium account	4,000	-
Retained earnings	2,000	7,000
Total equity	16,000	11,000
Non-current liabilities	10,000	2,000
Current liabilities	<u>25,000</u>	<u>3,000</u>
Total equity and liabilities	<u>51,000</u>	<u>16,000</u>

Andress Ltd has owned 80% of Bacall Ltd since incorporation.

Requirement

Prepare, for Andress Ltd, the consolidated statement of profit or loss for the year ended 31 December 20X0 and the consolidated statement of financial position at that date.

12 Crawford Ltd

The statements of financial position and statements of profit or loss for Crawford Ltd and Dietrich Ltd are given as follows.

Statements of financial position as at 30 June 20X0

	Crawford Ltd	Dietrich Ltd
	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment 27,000 12,500 Investments (2,000 CU1 shares in Dietrich Ltd at cost) 2,000	29,000	12,500
Current assets	<u>25,000</u>	<u>12,000</u>
Total assets	<u>54,000</u>	<u>24,500</u>
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital	20,000	3,000
Share premium account	6,000	-
Retained earnings	<u>9,000</u>	<u>14,000</u>
Total equity	35,000	17,000
Non-current liabilities	12,000	-
Current liabilities	<u>7,000</u>	<u>7,500</u>
Total equity and liabilities	<u>54,000</u>	<u>24,500</u>

Crawford Ltd acquired its shares in Dietrich Ltd five years ago when Dietrich's retained earnings were nil. At the start of the current year retained earnings were CU2,000 and CU4,000 respectively.

Statement of profit or loss for the year ended 30 June 20X0

	Crawford Ltd	Dietrich Ltd
	CU	CU
Revenue	24,000	30,000
Cost of sales	(9,000)	<u>(11,000)</u>
Gross profit	15,000	19,000
Distribution costs	(2,300)	(1,300)
Administrative expenses	(1,500)	<u>(2,700)</u>
Operating profit	11,200	15,000
Finance cost	(1,200)	
Profit before tax	10,000	15,000
Income tax expense	(3,000)	<u>(5,000)</u>
Profit for the year	<u>7,000</u>	<u>10,000</u>

Requirements

- 12.1 Briefly explain the objectives of producing group accounts.
- 12.2 Briefly explain the following words/phrases.
 - (a) single entity concept
 - (b) control
 - (c) equity
- 12.3 Prepare, for Crawford Ltd, the consolidated statement of profit or loss and the consolidated statement of changes in equity (retained earnings and the non-controlling interests columns only) for the year ended 30 June 20X0 and the consolidated statement of financial position as at that date.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Austin Ltd – Consolidated statement of financial position as at 31 December 20X7

	CU
Non-current assets	
Property, plant and equipment (80,000 + 8,000)	88,000
Current assets (58,000 + 13,000)	<u>71,000</u>
Total assets	159,000
Equity attributable to owners of the parent	
Called up share capital (Austin Ltd only)	100,000
Retained earnings	<u>30,000</u>
	130,000
Non-controlling interests (20% × Reed Ltd's net assets 15,000)	3,000
Total equity	133,000
Liabilities (20,000 + 6,000)	<u>26,000</u>
Total equity and liabilities	<u>159,000</u>

Notes

- 1 Austin Ltd controls the assets and liabilities of Reed Ltd. The CSOFP reflects this.
- 2 The equity section of the CSOFP reflects ownership (80% by Austin Ltd and 20% by the non- controlling interest).
- 3 Austin Ltd's investment is cancelled against the net assets (ie, assets less liabilities) of Reed Ltd at acquisition (12,000 – (80% × (10,000 + 5,000))).
- 4 The remaining net assets are owned by the non-controlling interest.
- 5 Retained earnings are Austin Ltd's only, because Reed Ltd has not, as yet, earned anything under Austin Ltd's control. All of Reed Ltd's retained earnings are pre-acquisition.

Answer to Interactive question 2

Austin Ltd – Consolidated statement of profit or loss for the year ended 31 December 20X8

	CU
Revenue (20,000 + 5,000)	25,000
Costs (15,000 + 3,000)	<u>(18,000)</u>
Profit for the year	7,000

Profit attributable to:	
Owners of Austin Ltd (B)	6,600
Non-controlling interests (20% × 2,000)	<u>400</u>
	<u>7,000</u>

Consolidated statement of financial position as at 31 December 20X8

CU

Non-current assets	
Property, plant and equipment (82,000 + 9,000)	91,000
Current assets (81,000 + 20,000)	<u>101,000</u>
Total assets	<u>192,000</u>
Equity attributable to owners of parent	
Called up share capital (Austin Ltd only)	100,000
Retained earnings (35,000 + (80% × (7,000 - 5,000)))	<u>36,600</u>
	136,600
Non-controlling interest (20% × Reed Ltd's net assets 17,000)	<u>3,400</u>
Total equity	140,000
Liabilities (40,000 + 12,000)	<u>52,000</u>
Total equity and liabilities	<u>192,000</u>

Notes

- 1 The consolidated statement of profit or loss down to 'Profit for the year' reflects **control**.
- 2 To reflect **ownership**, this profit is then **allocated** between the non-controlling interest (in Reed Ltd) and the owners of Austin Ltd (Austin Ltd's profit plus that part of Reed Ltd's profit (80%) owned by Austin Ltd).
- 3 The assets and liabilities in the consolidated statement of financial position represent **control**.
- 4 The equity part of the CSOFP represents **ownership**. This time the retained earnings are Austin Ltd's plus that part of Reed Ltd's (80%) that has arisen since acquisition ie, **post-acquisition earnings**. The non-controlling interests own their share of Reed Ltd's equity at the end of the reporting period.

Answer to Interactive question 3

3.1 Consolidated statement of financial position at 31 December 20X5

CU

Non-current assets - goodwill

Consideration transferred	
- 8 million shares × CU3.50	28,000,000
- contingent consideration at fair value at acquisition date	
Fair value of identifiable assets acquired and liabilities assumed	(20,000,000)
Goodwill	8,100,000
Current liabilities - contingent consideration at fair value at period end	1,200,000

Consolidated statement of profit or loss for year ended 31 December 20X5

	CU
Additional cost of contingent consideration (1,200,000 – 100,000)	1,100,000

3.2 Consolidated statement of financial position at 31 December 20X6

	CU
Non-current assets – goodwill	8,100,000

Consolidated statement of profit or loss for year ended 31 December 20X6

	CU
Additional cost of contingent consideration (CU1.75m paid – CU1.2m)	550,000

Note that the contingent consideration of CU1.75 million was settled in cash on 31 December 20X6, so there is no liability to be recognised at the end of 20X6.

Answer to Interactive question 4

	CU
Consideration transferred	10,000
Plus non-controlling interests at acquisition (25% of FV of identifiable net assets of S Ltd)	3,000
Less fair value of identifiable assets acquired and liabilities assumed at acquisition	<u>(12,000)</u>
Goodwill	1,000

Answer to Interactive question 5

Recording investment in Eclipse plc		CU	CU
Shares to be issued 1 July 20X7			
DR Investment in Eclipse plc (5m × 60p)	3,000,000		
CR Cash (issue costs)		10,000	
CR Share capital (5m × 25p)		1,250,000	
CR Share premium (3,000 – 1,250 – 10 issue costs)		1,740,000	
Cash			
DR Investment in Eclipse plc	1,000,000		
CR Cash		1,000,000	
Shares to be issued 1 July 20X8			
DR Investment in Eclipse plc (1m × 60p)	600,000		
CR Shares not yet issued (heading under equity)		600,000	
Goodwill on consolidation of Eclipse plc			
	CU		CU
Consideration transferred			
Shares	3,000,000		
Cash	1,000,000		
Shares to be issued	<u>600,000</u>		
			4,600,000

	CU	CU
Non-controlling interests at acquisition ($3,428 \times 25\%$)		<u>857,000</u>
		5,457,000
Fair value identifiable assets acquired and liabilities assumed		
Net assets of Eclipse plc	3,628,000	
Less: Contingent liability	<u>(200,000)</u>	
		<u>(3,428,000)</u>
Goodwill		2,029,000

Answer to Interactive question 6

Foot plc – Consolidated statement of financial position as at 31 December 20X8

Measurement of NCI at acquisition

ASSETS

Non-current assets

	Proportionate basis CU	Fair value CU
Property, plant and equipment ($150,000 + 500,000$)	650,000	650,000
Intangible assets (W3)	<u>300,000</u>	<u>325,000</u>
	950,000	975,000
Current assets ($1,700,000 + 680,000$)	<u>2,380,000</u>	<u>2,380,000</u>
Total assets	<u>3,330,000</u>	<u>3,355,000</u>

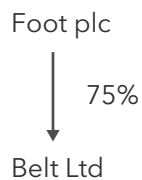
EQUITY AND LIABILITIES

Attributable to owners of Foot plc Ordinary share capital (CU1 shares)

Retained earnings (W5),	500,000	500,000
	<u>1,785,000</u>	<u>1,785,000</u>
	2,285,000	2,285,000
Non-controlling interest (W4)	<u>245,000</u>	<u>270,000</u>
Equity	2,530,000	2,555,000
Current liabilities ($600,000 + 200,000$)	<u>800,000</u>	<u>800,000</u>
Total equity and liabilities	<u>3,330,000</u>	<u>3,355,000</u>

WORKINGS

(1) Group structure



(2) Belt Ltd - fair value of identifiable assets acquired and liabilities assumed

	At period end	Acquisition date	Post-acquisition
	CU	CU	CU
Share capital	100,000	100,000	-
Retained earnings	<u>880,000</u>	<u>500,000</u>	<u>380,000</u>
	<u>980,000</u>	<u>600,000</u>	<u>380,000</u>

(3) Goodwill

Measurement of NCI at acquisition

	Proportionate basis	Fair value
	CU	CU
Consideration transferred	750,000	750,000
NCI at the acquisition date - 25% × 600,000/at fair value	150,000	175,000
	900,000	925,000
Less fair value of identifiable assets acquired and liabilities assumed (= net assets)	<u>(600,000)</u>	<u>(600,000)</u>
	<u>300,000</u>	<u>325,000</u>

(4) Non-controlling interest Measurement of NCI at acquisition

	Proportionate Basis	Fair value
	CU	CU
NCI at acquisition - 25% × 600,000 (W2)/fair value	150,000	175,000
Share of post-acquisition profits - 25% × 380,000 (W2)	<u>95,000</u>	<u>95,000</u>
	<u>245,000</u>	<u>270,000</u>

(5) Retained earnings

	CU
Foot plc	1,500,000
Belt Ltd (75% × 380,000 (W2))	<u>285,000</u>
	<u>1,785,000</u>

Answers to Self-test questions

1 Vaynor plc

	CU
Vaynor plc	90,000
Weeton Ltd $((40,000 + 10,000) \times 100\%)$	50,000
Yarlet Ltd $((70,000 - 30,000) \times 80\%)$	<u>32,000</u>
Consolidated retained earnings	<u>172,000</u>

2 Wolf plc

	CU
Consideration transferred	77,000
Non-controlling interests at acquisition at fair value	<u>32,000</u>
	109,000
Fair value of identifiable assets acquired and liabilities assumed $(100,000 + 50,000)$	<u>(150,000)</u>
Gain on a bargain purchase	<u>(41,000)</u>

3 Ling plc

	CU
Fair value of consideration transferred	5,400,000
Non-controlling interests $(4,250 \times 20\%)$	850,000
Less fair value of identifiable assets acquired and liabilities assumed $(4,600 + 150 \text{ FV adj} - 500 \text{ goodwill})$	<u>(4,250,000)</u>
Goodwill	<u>2,000,000</u>

4 Sansom plc

Goodwill shown in the statement of financial position will be CU7,600.

	CU	CU
Mabbutt Ltd		
Consideration transferred		35,000
Fair value of non-controlling interests at acquisition		13,000
Less fair value of identifiable assets acquired and liabilities assumed		
Share capital	15,000	
Retained earnings	<u>21,000</u>	
		<u>(36,000)</u>

	CU	CU
Goodwill		12,000
Impairment to date		<u>(4,400)</u>
Balance c/f		<u>7,600</u>
Waddle Ltd		
Consideration transferred		20,000
Fair value of non-controlling interests at acquisition		10,000
Less fair value of identifiable assets acquired and liabilities assumed	20,000	
Share capital		
Retained earnings	<u>16,000</u>	
		<u>(36,000)</u>
		<u>(6,000)*</u>

* Recognised as a gain in consolidated profit or loss in the year in which the acquisition was made.

5 Teal plc

The correct answers are:

- A A possible loss dependent on the outcome of a legal case which has not been provided for in Juniper Ltd's accounts. The acquisition date fair value of the loss can be estimated reliably.
- C A warranty provision in Juniper Ltd's accounts to cover the costs of commitments made to customers.

Contingent liabilities should be recognised even though not provided for in the acquiree's accounts and the warranty provision should be recognised as it arises from past events.

Reorganisation plans are only put into effect once control is gained. No liability or contingent liability therefore exists at the time of acquisition.

6 Wilsons plc

	CU	CU
Consideration transferred		20,000
Fair value of non-controlling interests at acquisition		<u>7,000</u>
Less: Fair value of identifiable assets acquired and liabilities assumed		27,000
Share capital	1,000	
Share premium	2,000	
Retained earnings - 1 October 20X1	12,000	
- Nine months ($\frac{9}{12} \times 21,000 - 12,000$)	<u>6,750</u>	
		<u>(21,750)</u>
Goodwill		<u>5,250</u>

7 Leeds Ltd

	CUm
Fair value of consideration	12
Less fair value of identifiable assets acquired and liabilities assumed	(7)
Goodwill acquired	5

The acquirer's reorganisation plans and the acquiree's or acquirer's future operating losses do not meet the recognition criteria for liabilities as the related liabilities did not exist at the acquisition date.

8 Castor plc

	CU
Fair value of consideration	
Cash	1,000,000
Shares at fair value (300,000 × 3)	900,000
Non-controlling interests at FV	280,000
Less fair value of identifiable assets acquired and liabilities assumed	<u>(1,000,000)</u>
Goodwill acquired	<u>1,180,000</u>

9 Acquisition of a subsidiary

The correct answer is:

D The date on which control passes

A business combination is accounted for from the acquisition date, which is the date on which control in the acquiree is obtained (IFRS 3: para. 8).

10 Salt Ltd

Tahini plc has control of Salt Ltd and so should prepare consolidated financial statements.

Total number of votes:

Votes

A shares 2,000 × 10 =	20,000
B shares 8,000 × 1 =	<u>8,000</u>
	<u>28,000</u>

Tahini plc controls 54% (15,000 / 28,000) of the votes

Note: We have to assume that 54% gives Tahini plc control ie, power, rights to variable returns and the ability to affect the level of returns.

11 Andress Ltd

Consolidated statement of profit or loss for the year ended 31 December 20X0

	CU
Revenue (10,000 + 7,000)	17,000
Cost of sales (6,000 + 2,000)	(8,000)
Gross profit	9,000
Expenses and tax (3,000 + 2,000)	(5,000)
Profit	4,000
Profit attributable to	
Owners of Andress Ltd (β)	3,400
Non-controlling interests (20% × 3,000)	600
	4,000

Consolidated statement of financial position as at 31 December 20X0

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (25,300 + 9,000)	34,300
Current assets (22,500 + 7,000)	29,500
Total assets	63,800
EQUITY AND LIABILITIES	
Equity attributable to owners of the parent Ordinary share capital	10,000
Share premium account	4,000
Retained earnings (2,000 + (80% × 7,000))	7,600
	21,600
Non-controlling interests (20% × 11,000)	2,200
Total equity	23,800
Non-current liabilities (10,000 + 2,000)	12,000
Current liabilities (25,000 + 3,000)	28,000
Total equity and liabilities	63,800

Note: Andress has owned the shares in Bacall since incorporation and the shares were acquired at nominal value (3,200 shares for CU3,200). There is therefore no difference between the value of the consideration transferred by Andress and the value of the assets it acquired, so no goodwill was acquired.

12 Crawford Ltd

12.1 The objectives of producing group accounts

Group accounts aim to reflect substance ie, if one company controls another, they effectively operate as a single economic entity.

12.2 Therefore, the parent, or controlling company, should provide information about the economic activities of the group by preparing consolidated accounts. These will show the economic resources controlled by the group, the obligations of the group and the results achieved with those resources. The overall aim is to present the results and financial position of the group as if they were those of a single entity. (a) The single entity concept focuses on the existence of the group as an economic unit (as discussed above). This contrasts with legal form where each group company is actually a separate legal person.

(b) Control is defined as:

- power; and
- exposure, or rights to variable returns from involvement with the investee; and
- ability to use power to affect the level of variable returns.

In an individual company the assets are under the direct control of that company. However, where a company becomes a subsidiary, the assets are under indirect control of the parent via its control of the subsidiary.

Control can be achieved in a number of ways, the most obvious being a holding of over 50% of the ordinary ie, vote-carrying, shares.

(c) Equity is defined in the Conceptual Framework as the residual interest in the assets of an entity after deducting all of its liabilities. In an individual company those net assets are owned by one ownership interest: the company's shareholders. However, in consolidated accounts the consolidated net assets will include 100% of the subsidiary even though some of those net assets may not be owned by the group. Therefore, the equity interest may be split between:

- the parent company's shareholders
- the non-controlling shareholders in the subsidiary

12.3 Consolidated statement of financial position as at 30 June 20X0

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (27,000 + 12,500)	39,500
Current assets (25,000 + 12,000)	37,000
Total assets	<u>76,500</u>
EQUITY AND LIABILITIES	
Equity attributable to owners of the parent	
Ordinary share capital	20,000
Share premium account	6,000
Retained earnings (9,000 + (2/3 × 14,000 – nil))	18,333
	<u>44,333</u>
Non-controlling interests (1/3 × 17,000)	<u>5,667</u>
Total equity	50,000

	CU
Non-current liabilities	12,000
Current liabilities (7,000 + 7,500)	14,500
Total equity and liabilities	<u>76,500</u>

Consolidated statement of profit or loss for the year ended 30 June 20X0

	CU
Revenue (24,000 + 30,000)	54,000
Cost of sales (9,000 + 11,000)	<u>(20,000)</u>
Gross profit	34,000
Distribution costs (2,300 + 1,300)	(3,600)
Administrative expenses (1,500 + 2,700)	<u>(4,200)</u>
Operating profit	26,200
Finance cost	<u>(1,200)</u>
Profit before tax	25,000
Income tax (3,000 + 5,000)	<u>(8,000)</u>
Profit for the year	<u>17,000</u>
Profit attributable to: Owners of Crawford Ltd (β)	13,667
Non-controlling interests (1/3 × 10,000)	<u>3,333</u>
	<u>17,000</u>

Consolidated statement of changes in equity for the year ended 30 June 20X0

(extracts) Attributable to owners of Crawford Ltd

	Retained earnings CU	Non-controlling interests CU
Balance brought forward (2,000 + (2/3 × 4,000)) (1/3 × (3,000 + 4,000))	4,666	2,334
Total comprehensive income for the period	<u>13,667</u>	<u>3,333</u>
Balance carried forward	<u>18,333</u>	<u>5,667</u>

Note: No goodwill arises on the acquisition of Dietrich Ltd as the shares were acquired at net asset value ie, their nominal value when retained earnings were CUnil.